Capturing Business

WORKSHOP MANUAL



Shipley Asia Pacific

You win

Shipley Asia Pacific
Level 7, 74 Castlereagh Street
Sydney NSW Australia

+61 2 9232 2030

www.shipleywins.com.au

© 1989, 2002-2003, 2006 Shipley Associates, Shipley Asia Pacific. All rights reserved.

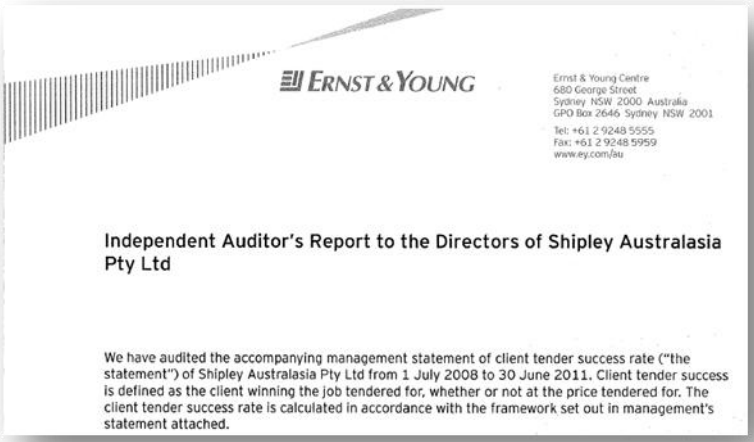
No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means (electronic, mechanical, photocopying, recording, or otherwise) without prior written permission from Shipley Associates and Shipley Asia Pacific.

Printed in Australia

V1

.

SHIPLEY'S MISSION: We help companies win business



ERNST & YOUNG

Ernst & Young Centre
680 George Street
Sydney NSW 2000 Australia
GPO Box 2646 Sydney NSW 2001
Tel: +61 2 9248 5555
Fax: +61 2 9248 5959
www.ey.com/au

Independent Auditor's Report to the Directors of Shipley Australasia Pty Ltd

We have audited the accompanying management statement of client tender success rate ("the statement") of Shipley Australasia Pty Ltd from 1 July 2008 to 30 June 2011. Client tender success is defined as the client winning the job tendered for, whether or not at the price tendered for. The client tender success rate is calculated in accordance with the framework set out in management's statement attached.

*With an 88% win rate for client bids over a 3-year period, audited by Ernst & Young (**See web site for Ernst & Young win rate audit**), and having supported clients in $300 Bn in bids last year, Shipley is uniquely placed to support your next 'must-win' proposal.*

Bid Support

There are a number of points at which we can provide support:

- **opportunity identification and strategy**: helping you choose which opportunities you are going to pursue, and how you are going to win them
- **proposal strategy**: working with you to build a compelling series of themes for a proposal; themes that fit with the client's issues and counter your competitors' claims
- **proposal management, writing and layout**: we can provide a complete team to implement a well-planned proposal strategy, or supplement your existing team
- **bid review:** using our unique methodology, we can give you feedback on a proposal and indicate whether you are likely to win, and why; also useful for gaining lessons from past proposals
- **presentation coaching**: where a face-to-face presentation is part of the assessment process, we can develop your message, your materials, and train and coach you to deliver at your best
- **customer asset management**: success stories from previous customers are your most powerful proof point, if you collect, write and manage them carefully

Training Services

Most of our training is delivered on-site with our clients, but we also run open-enrolment public workshops. Our workshops include:

- Capturing Business
- Writing Proposals
- Managing Proposals
- Winning Proposal Strategies
- Winning Executive Summaries
- Proposal Presentations
- Director Forum: Winning and Retaining Business

To ensure successful implementation of Shipley tools and methods, we also provide an additional optional service which supports your staff for a year, helping them internalise and implement key tools that will lift your bottom line.

"After training 80 pre-sales professionals, our win ratio for major bids has risen to 70%, from a significantly lower base the previous year"

GM, Bids and BD, large Australian telecommunications company

Business Development Process Consulting

Working with you on specific bids, or providing training, will only help in the short term. For a more dramatic increase in your revenues, and reduction in your costs, we need to look at the processes you have implemented around business development.

We have helped a number of very large organisations to lift their win rate significantly.

Assessment Services and Tools

Shipley has a range of resources, some customisable to a client's specific situation, that can be supplied to clients as outputs from consulting engagements or training courses, including:

- Boilerplate/reuse database development
- Capture/proposal planners, worksheets, templates, and checklists
- Customized manuals and process guides
- Shipley Proposal Guide

Customer Success

In addition to helping companies win business through their proposals, we also assist companies in training their sales and marketing professionals to win business. By using our integrated training and consulting services, many companies have found that they can increase their win ratios anywhere from 20 percent to 80 percent.



Having an effective, targeted strategy and a benefits-focussed bid document will win you more business. Shipley can help you develop these essential tools.

© Shipley Associates, Shipley Asia Pacific

Table of Contents

Opportunities 9

Capture Management in Effective Business Development 11
Start Early to Align with Customer Procurement Process 14
The Business Development Process 15
Follow Business Development Phases 15
Utilise Colour Team Reviews 22
Select Strategic Business Opportunities 25
Interest Decision 29
Assess Each Opportunity 35
Pursuit Decision Briefing 37
Prepare a Capture Plan 41
Capture Plan Characteristics 42

Customers and Competitors 49

Collect Competitive Intelligence 51
Understand the Customer 53
Identify Decision Makers and Influencers 56
Engage with Customer Representatives 57
Calculate a Power Rating 59
Use Public Sources of Information 61
Customer Intelligence 62
Undertake Competitor Analysis 77
Understand discriminators 80
Competitor Intelligence 81
Prepare a Bidder Comparison 82
Complete a Bidder Comparison Chart 83

Execution 85

Validate your Solution Set 87
Determine Price to Win 87
Winning Price 90
Collaborate on the Solution 91
Technical and Management Solution 92
Consider Teaming Solutions 93
Teaming and Subcontracting 94
Establish Capture Strategies 95
Capture Strategy 98
Action planning 99
Establish Accountability through Action Planning 99
Action Planning 100

Capture Plan Executive Summary 101
Capture Plan Briefing 102
Execute and Track your Capture Plan 103
Prepare a First Draft of the Executive Summary 104
Support the Proposal Team 105
Focus on Customer Needs 105
Translate Capture Strategy into Proposal Strategy 106
Contribute to the Kickoff Meeting 108
Participate in Reviews 109
What to Do When Time Is Short 111
Participant Review and Recommendations 114
Workshop attendance and feedback form 115

 © Shipley Associates, Shipley Asia Pacific

Opportunities

 © Shipley Associates, Shipley Asia Pacific



Capture Management in Effective Business Development

Successful business development arises from a disciplined application of resources to opportunities the organisation can win.

Effective business development demands more than desirable products or services to propose to customers. It also requires the abilities to:

- Choose business opportunities that are good strategic fits
- Research and analyse customers to determine their underlying needs
- Collect and exploit competitive intelligence
- Collaborate with clients to develop compelling solutions to their problems

Along the way, opportunities that no longer look promising must be discarded so time and money can be focused on more likely candidates. This narrowing of attention is the essence of capture management.



See Introduction to Capture Planning



Figure 1. The Opportunity Funnel. *The goal of a rational business development process is to winnow out the opportunities with poor strategic potential or low win probability. By concentrating resources on the best targets, you will waste fewer resources and win more of the important contracts.*

A good business development process, employing effective capture management, improves a company's bottom line. Even though the organisation may bid fewer opportunities, it will likely win more contracts, including the strategic ones that lead to follow-on work.

Win rate is the ratio of contracts won to proposals submitted.

$$\textit{Win Rate} = \frac{\textit{Wins}}{\textit{Bids}}$$

Capture ratio is the ratio of business won to value of proposals submitted.

$$\textit{Capture Ratio} = \frac{\textit{Value of Wins}}{\textit{Value of Bids}}$$



Figure 2. Benefits of Good Capture Management. *By focusing on fewer, but better, business leads before associated RFPs are released, most organisations will reduce costs of individual proposal development and win more business. This fortunate contradiction occurs because companies that bid on too many jobs cannot devote enough attention to any to have a good chance of winning.*

© Shipley Associates, Shipley Asia Pacific

Adoption of sound business development processes, with a corresponding shift in emphasis toward earlier capture management activities, produces measurable—sometimes dramatic— improvements in performance. Figure 3 lists results obtained by several Shipley clients.

Company Description	Before	Time Frame	After
IT services	· 1,200 proposals/year · 30% win rate · $440 million sales	9 months	· < 500 proposals/year · > 70% win rate · $1.05 billion sales
Engineering services	· $20 million sales	12 months	· >$60 million sales
IT services	· $350 million sales	18 months	· $1 billion sales · Capture ratio doubled
IT services and logistics	· $1.2 billion sales	12 months	· $1.8 billion sales · Pipeline down 40%
Defence contractor	· $1 billion sales	12 months	· $1.8 billion sales

Figure 3. Business Development Success. *Disciplined business development processes have helped many Shipley clients increase win rates, capture ratios, and revenue, often within existing resource limitations. By their emphasis on capture management before RFP release, these processes generally force earlier investment in business development.*

Start Early to Align with Customer Procurement Process

There are a number of factors that explain the importance of starting capture management early.

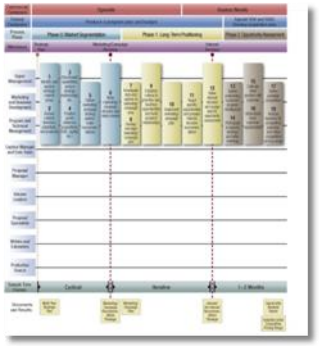
Whereas proposal schedules are dictated by the customer and the constraints they impose, you can manage your capture effort in a more measured way to design and sell the best possible offering to the customer.

Capture activity	before RFP release	post RFP release
Understanding customer needs and issues	Wide access to the customer is possible if you establish relationships early.	Access to the customer is restricted once the RFP is out.
Securing teaming partners	A choice of teaming partners is available before competitor teams are resolved. Terms can be fully discussed and resolved.	Competitors may have already secured agreement with your preferred partners. Teaming arrangements made under pressure can impact ability to deliver a coherent proposal.
Establishing delivery team	You can reserve key delivery personnel essential to your competitive position.	Essential team members may already be committed to other activities.
Influencing the requirement	Consultation and your team's expertise can help to shape the customer's preferred solution.	The RFP may reflect the influence of your competitors, making it hard for you to prepare a compliant response.
Designing the solution	Preliminary designs and plans can be validated with the customer.	New concepts have to be developed without benefit of customer feedback.
Providing proof of capability	There is time to identify and document the past performance elements that the customer will value.	Limited time may mean that compelling past performance data cannot be compiled in time for inclusion in the proposal.

Figure 4. Advantages of Early Engagement. *Early identification of opportunities and commitment of resources pays off with the customer primed to accept your proposal and your team better informed and prepared when the RFP is released.*

Be prepared for the long haul. Particularly when selling to government, political factors and complex authorisation processes mean that the ability to influence the customer's opinions and requirements may require engagement two or three years before the budget is allocated and the RFP drafted.

© Shipley Associates, Shipley Asia Pacific



The Business Development Process

Winning proposals are easier to manage when they are part of a defined business development process tailored and scaled to fit your customer's requirements, your organisation's needs, and the opportunity's size and importance.

Follow Business Development Phases

The seven-phase business development process reviewed in this module is an idealised model that can accommodate all types of business opportunities, large to small, product or service, government or commercial. Rarely, though, are all steps shown appropriate for a particular company or a given business opportunity.

You can tailor this model to reflect characteristics and time scales of your markets, leaving out or adjusting tasks if necessary. Scale efforts to reflect opportunity size and importance. Effective use of resources occurs when personnel throughout an organisation understand their roles and responsibilities and support progression of individual opportunities through successive phases. At critical decision points, objective evaluation of both an opportunity's status and the organisation's success pursuing it will contribute to intelligent decisions on whether to continue.

Guard against organisational tendencies to skip critical tasks when time is short. Time is often well-spent building support in advance for planning and reviews.

© Shipley Associates, Shipley Asia Pacific

Phase	Title	Decision Milestone	Phase Task Summary
0	Market Segmentation	Marketing/ Campaign	Markets analyzed and strategies developed
1	Long-Term Positioning	Interest	Campaigns executed to identify opportunity leads
2	Opportunity Assessment	Pursuit	Opportunities assessed to determine organization's interest and win potential
3	Capture Planning	Preliminary Bid	Customer influenced to prefer your solution and organization
4	Proposal Planning	Bid Validation	Proposal planned while capture and sales efforts continue
5	Proposal Development	Proposal Submittal	Proposal is prepared, approved, and submitted
6	Post-Submittal Activities		Questions answered, leading to contract negotiations

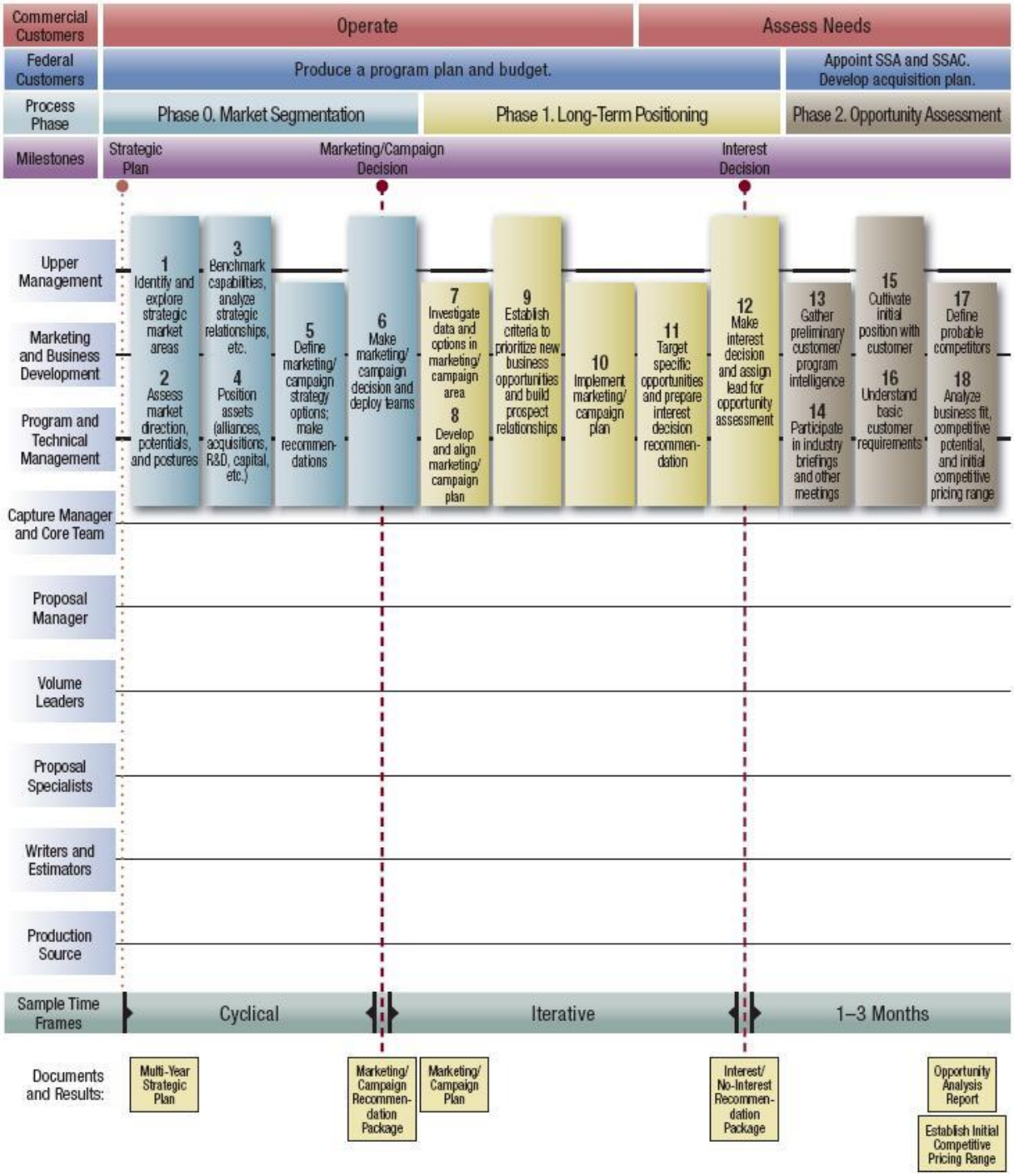
Figure 5. Shipley's Seven-Phase Business Development Model. *Each phase of business development comprises defined tasks with predetermined inputs and outputs. The phases are separated by decision milestones or gates, which help weed out less-suitable opportunities. The overall goal of the process is to arrive at the Proposal Development phase in a favoured position with the prospect, knowing enough about competitors and their probable solutions to clearly discriminate your offer in your proposal.*

Charts on the next several pages expand the seven phases of business development into discrete tasks. Role identifiers on the left side of the charts show who, in many organisations, participates in each task (shown by where the horizontal lines extending from role identifiers intersect task boxes).

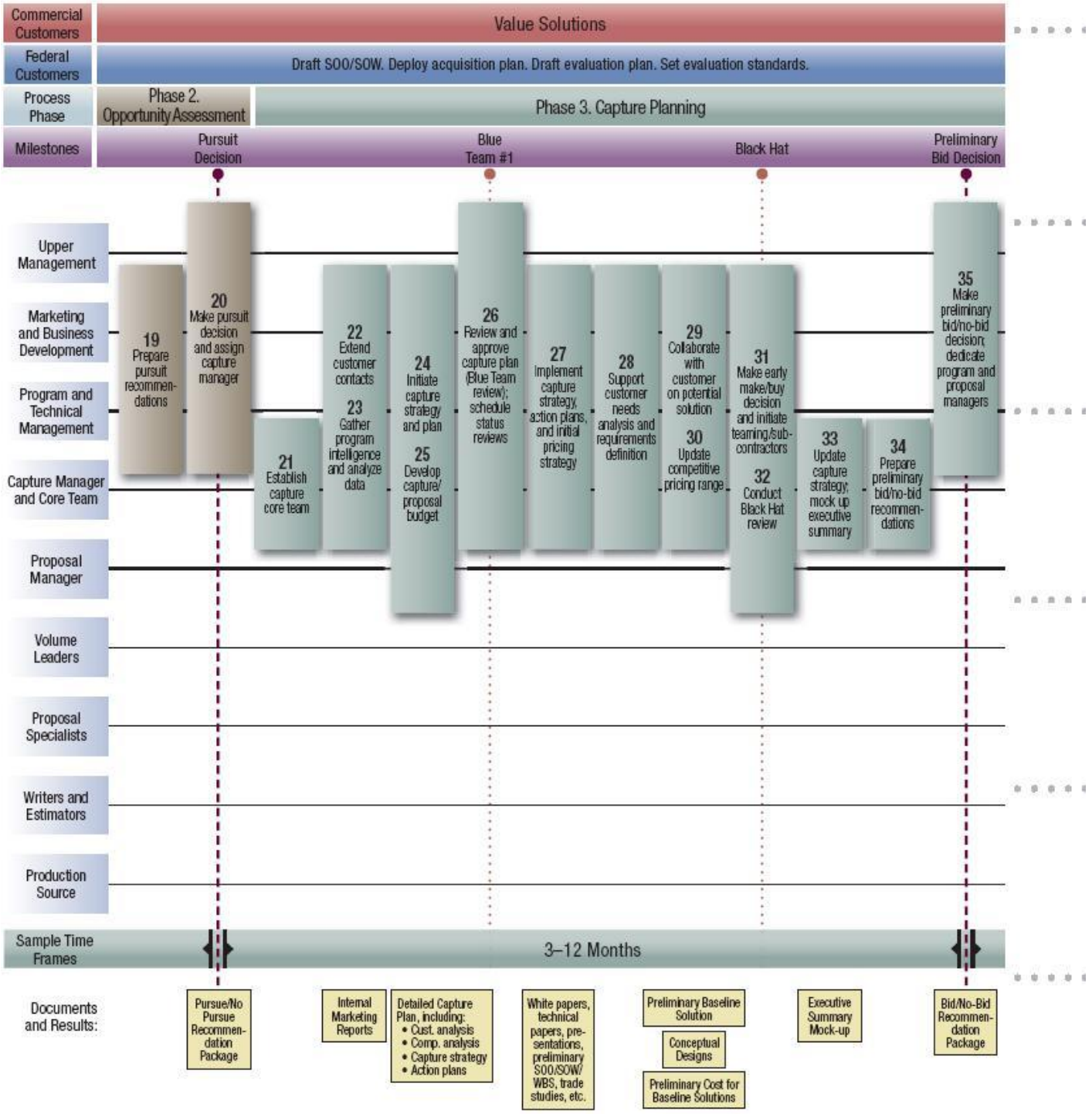
Coloured bars on top of the charts indicate how tasks typically align with customer activities. A timeline at the bottom shows representative durations for each phase, though there is great elasticity in opportunity timing. Documents commonly produced in each phase are shown below the timeline. These should be adapted to the needs of your organisation.

Use the charts to help you consider which tasks should be accomplished before major milestones. Customise the charts and sequence tasks to fit your company's environment or individual opportunities. Most companies can actually define their business development processes in only 30–60 steps.

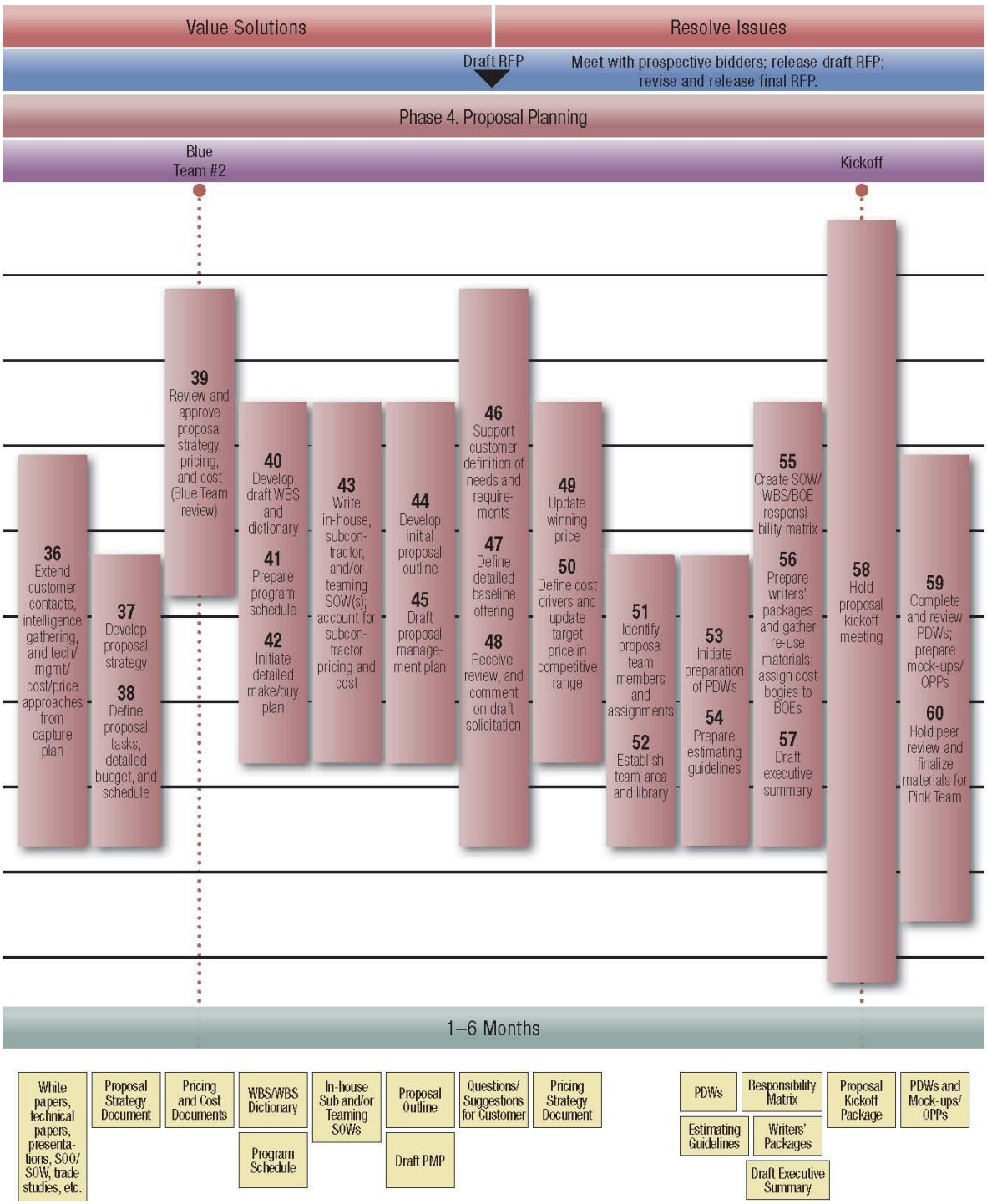
© Shipley Associates, Shipley Asia Pacific

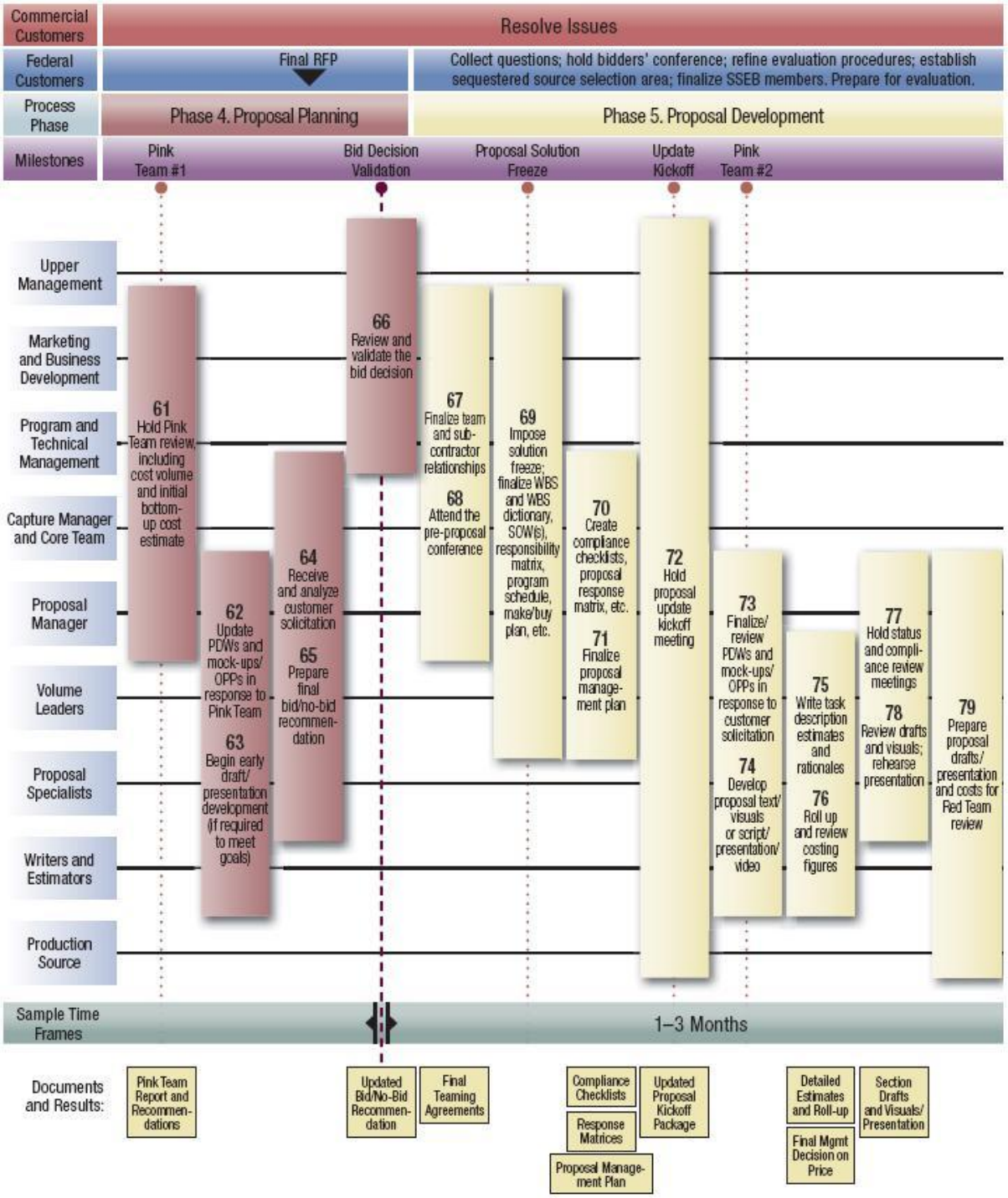


During subsequent workshop modules, referring back to these charts may help you understand the importance of capture management tasks.

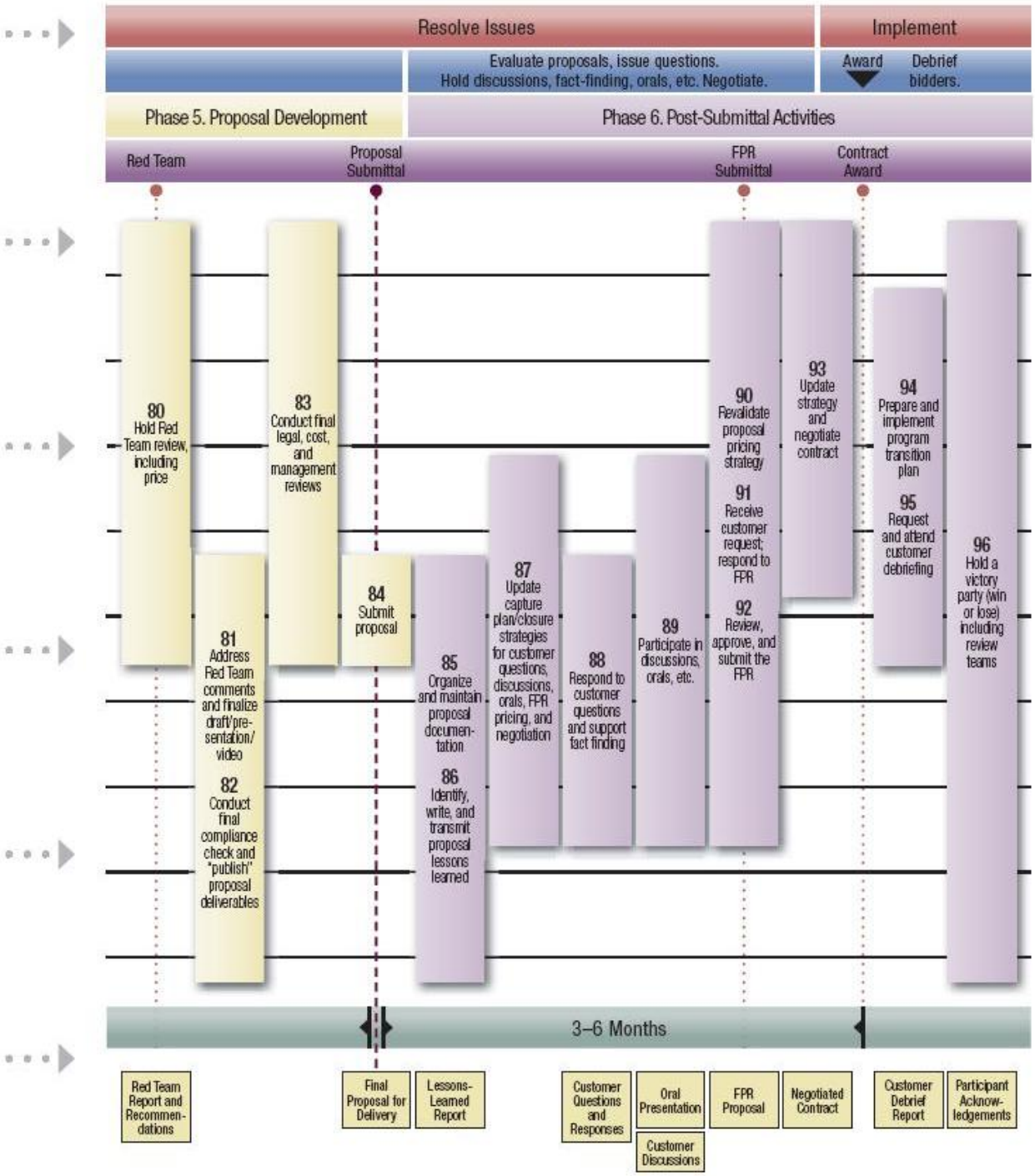


© Shipley Associates, Shipley Asia Pacific


Value Solutions
Resolve Issues
Draft RFP
Meet with prospective bidders; release draft RFP; revise and release final RFP.
Phase 4. Proposal Planning
Blue Team #2
Kickoff
36 Extend customer contacts, intelligence gathering, and tech/mgmt/cost/price approaches from capture plan
37 Develop proposal strategy
38 Define proposal tasks, detailed budget, and schedule
39 Review and approve proposal strategy, pricing, and cost (Blue Team review)
40 Develop draft WBS and dictionary
41 Prepare program schedule
42 Initiate detailed make/buy plan
43 Write in-house, subcontractor, and/or teaming SOW(s); account for subcontractor pricing and cost
44 Develop initial proposal outline
45 Draft proposal management plan
46 Support customer definition of needs and requirements
47 Define detailed baseline offering
48 Receive, review, and comment on draft solicitation
49 Update winning price
50 Define cost drivers and update target price in competitive range
51 Identify proposal team members and assignments
52 Establish team area and library
53 Initiate preparation of PDWs
54 Prepare estimating guidelines
55 Create SOW/WBS/BOE responsibility matrix
56 Prepare writers' packages and gather re-use materials; assign cost bogies to BOEs
57 Draft executive summary
58 Hold proposal kickoff meeting
59 Complete and review PDWs; prepare mock-ups/OPPs
60 Hold peer review and finalize materials for Pink Team
1–6 Months
White papers, technical papers, presentations, SOO/SOW, trade studies, etc.
Proposal Strategy Document
Pricing and Cost Documents
WBS/WBS Dictionary
Program Schedule
In-house Sub and/or Teaming SOWs
Proposal Outline
Draft PMP
Questions/ Suggestions for Customer
Pricing Strategy Document
PDWs
Estimating Guidelines
Responsibility Matrix
Writers' Packages
Draft Executive Summary
Proposal Kickoff Package
PDWs and Mock-ups/ OPPs



© Shipley Associates, Shipley Asia Pacific


Resolve Issues
Implement
Evaluate proposals, issue questions. Hold discussions, fact-finding, orals, etc. Negotiate.
Award
Debrief bidders.
Phase 5. Proposal Development
Phase 6. Post-Submittal Activities
Red Team
Proposal Submittal
FPR Submittal
Contract Award
80 Hold Red Team review, including price
81 Address Red Team comments and finalize draft/pre-sentation/ video
82 Conduct final compliance check and "publish" proposal deliverables
83 Conduct final legal, cost, and management reviews
84 Submit proposal
85 Organize and maintain proposal documen-tation
86 Identify, write, and transmit proposal lessons learned
87 Update capture plan/closure strategies for customer questions, discussions, orals, FPR pricing, and negotiation
88 Respond to customer questions and support fact finding
89 Participate in discussions, orals, etc.
90 Revalidate proposal pricing strategy
91 Receive customer request; respond to FPR
92 Review, approve, and submit the FPR
93 Update strategy and negotiate contract
94 Prepare and implement program transition plan
95 Request and attend customer debriefing
96 Hold a victory party (win or lose) including review teams
3–6 Months
Red Team Report and Recommen-dations
Final Proposal for Delivery
Lessons-Learned Report
Customer Questions and Responses
Oral Presentation
Customer Discussions
FPR Proposal
Negotiated Contract
Customer Debrief Report
Participant Acknow-ledgements

Utilise Colour Team Reviews

In addition to decision milestones that separate business development phases, several colour teams play important roles. Though these teams are not formally established by any authority, **Figure 6** shows common industry terminology for them. Blue Team #2, Pink Team, and Red Team are particularly important to creating winning proposals.

Colour Team Review	Description
Blue Team #1	Approves capture plan
Black Hat Team	Predicts competitors' solutions
Blue Team #2	Approves proposal plan
Pink Team	Reviews storyboards and mock-ups to align execution with strategy before text is drafted
Green Team	Reviews costs
Red Team	Reviews final draft, including cost, to predict scoring
Gold Team	Approves final proposal and price
White Team	Reviews lessons learned

Figure 6. Colour Team Definitions. *Colour teams play distinct roles in a series of important tasks, first helping create strategies (Blue #1, Black Hat, and Blue #2), then verifying alignment (Pink), and finally confirming results (Red). In between, cost reviews may be referred to as Green Teams. Final proposal approval might be given by the Gold Team. And the after-action, lessons-learned review is sometimes called White Team.*

Gold Team is the only colour review that coincides with a phase decision milestone—proposal submittal.

© Shipley Associates, Shipley Asia Pacific

Overall, Shipley's structured business development process improves a company's win rate and capture ratio by focusing resources on the best opportunities. As each opportunity progresses, the capture manager attempts to influence the customer to prefer the company's approach. When these efforts are successful, the opportunity is passed forward through a series of decision gates. Eventually, a proposal should be prepared only if there is a high probability of winning.

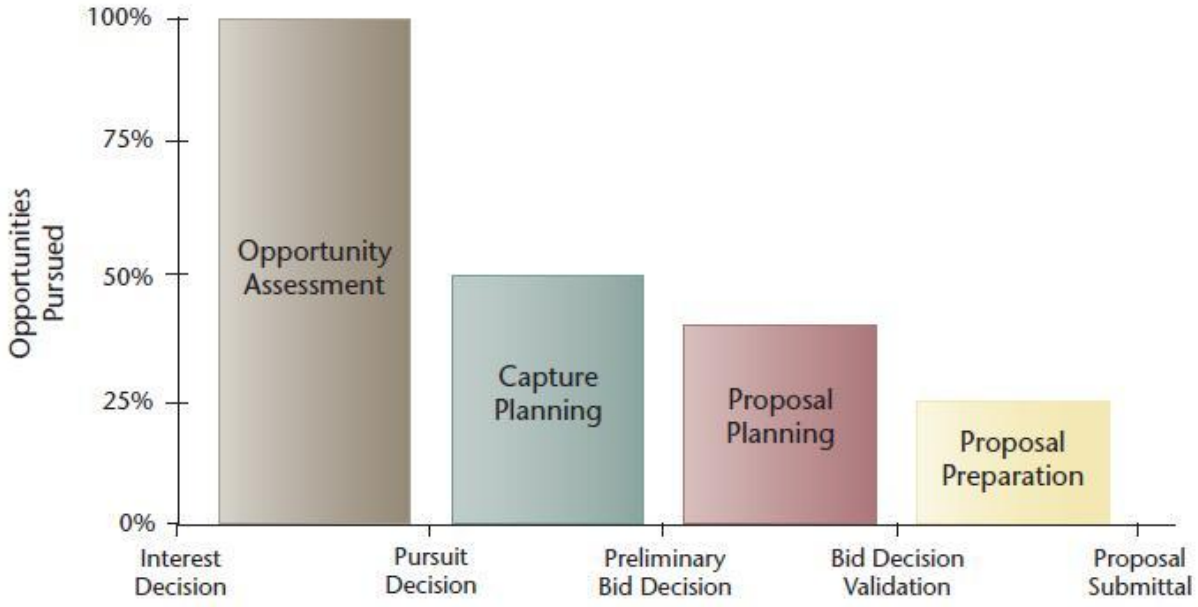


Figure 7. Selecting Good Opportunities. *After opportunity assessment, pursuit of more-promising opportunities is affirmed at a succession of decision milestones. Unaccepting customers, superior competitors, insufficient budgets, and poorly written proposals can all be reasons to cease pursuit. The percentage of opportunities allowed through each decision gate depends on characteristics of the market, company objectives, and quality of business leads. However, criteria should be established in advance or discipline will fail and resources will be wasted.*



© Shipley Associates, Shipley Asia Pacific



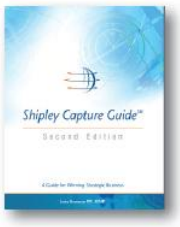
Select Strategic Business Opportunities

To improve your win rate, pursue business opportunities that match your capabilities and move your organisation toward its strategic goals.

Companies chase business opportunities for many reasons. Often, different companies chase the same business for different reasons. They might want to:

- Maintain revenue
- Grow market share
- Attract new customers
- Expand beyond core business
- Develop new technology
- Provide internal opportunities
- Protect resources

A desire to grow is a common reason companies look beyond their core businesses for new opportunities to bid. New customers, products or services, in various combinations, offer different degrees of risk and reward.



See Introduction to Capture Planning

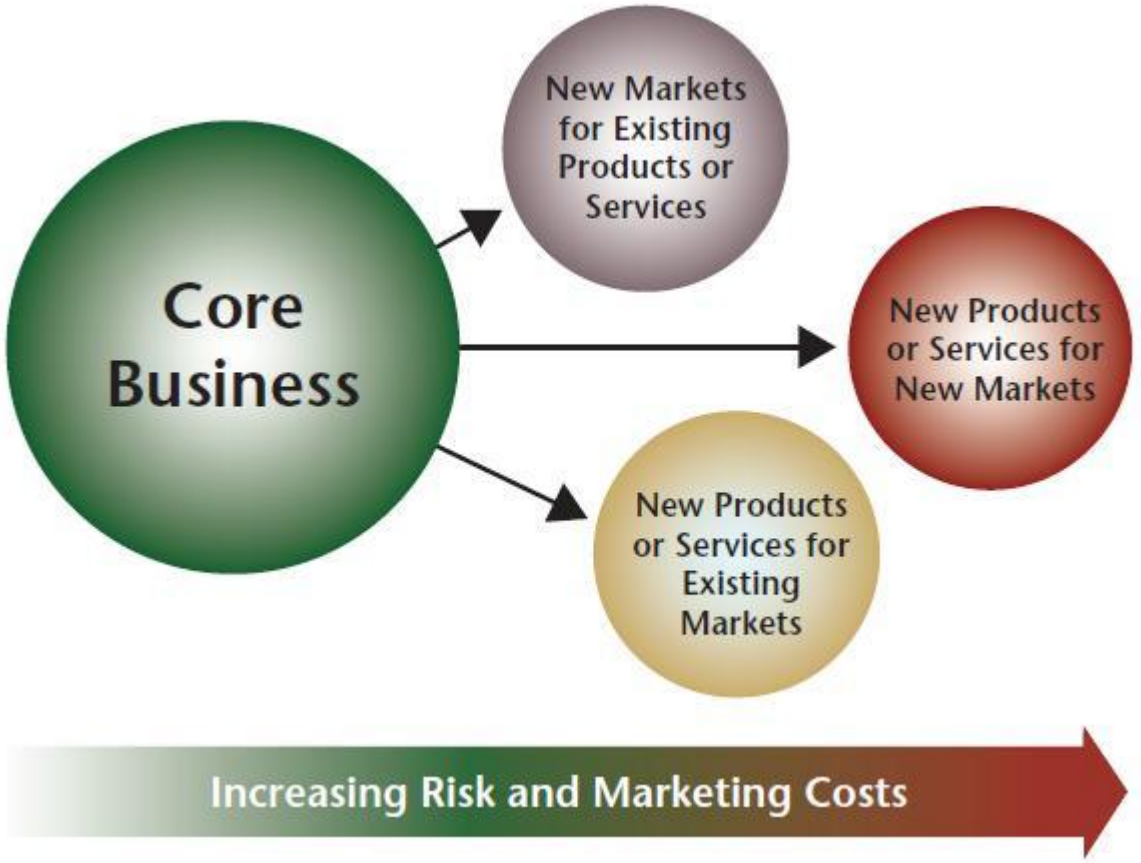
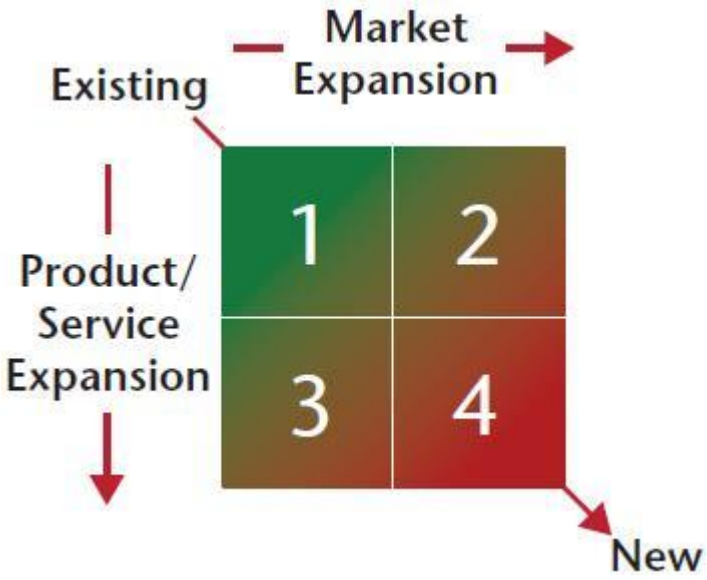


Figure 8. Growth Alternatives. *When companies wish to grow beyond the limits of current core business, several alternatives beckon. Existing products or services can be offered in new markets. New products or services can expand sales in existing markets with existing customers. Or, entirely new businesses can be entered, selling new products or services to new customers in previously un-entered markets. Costs and risks increase as new territory is explored.*

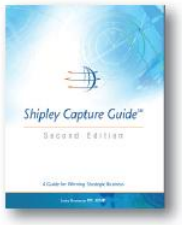
Opportunity selection can be conceptualised via the grid shown in Figure 9, which builds on the concepts in Figure 8. Depending on where a given opportunity lies on the grid between existing and new types of business, pursuit costs and chances of success vary and should be factored into selection decisions.

© Shipley Associates, Shipley Asia Pacific



Sector	Characteristics	Pursuit Indication	Early Action
1	Similar product or service, similar market	Strong	Focus on competitors
2	Similar product or service, new customers	Moderate	Learn market, establish presence
3	Similar customers, new product or service	Moderate	Verify needs of customers
4	New product or service, new customers	Weak	Create detailed plan, commit resources

Figure 9. Choosing Opportunities. *Be realistic when branching out from your core business. Opportunities in Sector 1 of the chart and table above automatically carry a strong pursuit indication. Actions and decisions will often be focused on competitors. Sector 2 opportunities should be weighed against your emerging view of the new market and the success you've had establishing your presence there. Sector 3 lead consideration should concentrate on verifying needs of the unfamiliar customer. Sector 4 ventures demand detailed planning and will inevitably consume more resources before a new customer can be influenced to purchase something you have little history selling.*



See Capture Planning

Of course, businesses must consider their strategic intents and other long-term objectives when selecting opportunities to pursue. These internal imperatives must be balanced against feedback from the market. While a company has the freedom to choose what business activities to undertake, it cannot ignore constraints created by customers' willingness or reluctance to purchase what the business wants to sell.



Figure 10. Balancing Selections. *Company desires and market realities sometimes create tension. A company's vision, strategic plan, annual operating goals, and preferences of management may rightly influence choices of opportunities to pursue. But customers with contradictory plans, the general business environment, strength of competitors, and potential barriers to entry can stand in the way.*

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Interest Decision

During this workshop you will be assigned by your instructor to a team representing one of four companies.

For this exercise, you will review business opportunities your marketing organisation has identified and choose the best lead for further assessment.

1. Read the profile of your assigned company provided by the instructor.
2. Read about leads your company has identified on workbook pages 30-34. The table below shows which leads have been identified by each company.

Leads	Companies			
	LISA	*Newmanix*	*Nunivak*	*S2*
1. NOAA Dropsonde	X	X	X	X
2. DovAir Avionics		X	X	X
3. Tsunami Warning System	X			
4. VOR/DME Beacon Upgrade and Maintenance			X	X
5. CHAMP Prototypes	X	X	X	
6. EPA Water Pollution Monitoring Buoys	X	X		X

3. Choose the lead that best matches your capabilities, resources, and strategic direction.
4. Prepare a presentation describing your company, the leads you considered, the opportunity selected, and your reasons for choosing it. Use flip charts for any desired visual aids.

EXERCISE

Lead #1: Improved Hurricane Monitoring System

The National Oceanic and Atmospheric Administration (NOAA), an agency of the United States Department of Commerce, is seeking an improved system to gather atmospheric measurements in hurricanes. The existing system includes a dropsonde, an airborne receiver and data processor, and a receiving ground station with a line-of-sight radio or satellite link.

A dropsonde is a small, cylindrical weather reconnaissance device that is dropped at a high altitude from an air vehicle to measure storm conditions as it falls to earth. Each dropsonde contains a GPS receiver; pressure, temperature, and humidity sensors; and a radio to transmit data to the airborne receiver and data processor in the aircraft. In turn, the aircraft relays the data to a ground station. Dropsondes are often slowed by parachutes to increase the number of readings before surface impact.

To improve hurricane tracking and reduce damage, NOAA would like to take more measurements over longer time periods. Considering most hurricanes last 7-10 days, hurricane hunter aircraft routinely fl y 12-hour missions. Weather balloons can stay aloft for days, but are difficult to reposition. Unmanned aerial vehicles (UAVs) can stay aloft for days, are easily repositioned, and eliminate aircrew risk, but have limited payload capacity.

To extend measurements over the life of the storm, NOAA wants to reduce dropsonde weight and cost. Smaller, lighter dropsondes and systems could be carried in greater quantities by more types of air vehicles.

Dropsondes are expendable, so less costly dropsondes could be deployed in greater numbers at acceptable cost. Current units cost approximately $750 each. NOAA is planning to procure a minimum of 12,000 improved dropsondes over the next 4 years, plus the associated airborne receivers, data processors, and ground stations. The equipment will be used in a demonstration program to evaluate performance before moving into longer-term production.

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Lead #2: DovAir Avionics Fabrication

DovAir Corporation, Dallas, Texas, is looking for a supplier of three cockpit avionics assemblies for Flying Dove, a new aircraft targeted at small corporate and private users. Flying Dove will use the new, fuel-efficient, small jet engines expected to supplant turboprops.

The initial opportunity is to fabricate communication, navigation, and display modules for five aircraft.

The concept aircraft will be used for development engineering, and four aircraft will be outfitted for FAA type-certification tests. The display module must interface with the DovAir-produced Aircraft Management System as well as the communication and navigation modules.

DovAir has requested production-quantity pricing for the three modules estimated at $119,000 per aircraft. (Current systems with similar functions cost $249,000 per aircraft.) DovAir engineers estimate the system redesign will require a $7.5 million investment. DovAir is seeking supplier participation for the development costs, but will purchase units for the first five aircraft at negotiated production prices.

DovAir's aircraft sales projections by year are:

Year	Number of Aircraft
1	1 (concept testing)
2-4	4 (type certification)
3	15
4	40
5+	70

Additionally, DovAir plans to offer upgraded avionics retrofits during factory overhauls of older aircraft (30 per year) currently using individual instruments and components rather than integrated modules. Newer avionics are 30 percent more expensive to install but reduce out-year maintenance costs. DovAir forecasts that half of their overhaul customers will select the upgraded avionics, adding 15 units per year to the above sales projections.

EXERCISE

Lead #3: Tsunami Warning System

The United States Department of the Interior (DoI) wants to study the effects of tsunamis and develop a sophisticated, Next-generation Early Warning System (NEWS) to prevent loss of life and property. The DoI envisions three equally important components:

- A network of sensors to detect tsunamis
- Improved analysis of network data
- A communications infrastructure to alert at-risk coastal areas.

Two distinct systems exist: international tsunami warning systems, and regional warning systems. International systems are based on global seismic data. Unfortunately, scientists cannot predict which earthquakes will produce significant tsunamis, issuing more false alarms than verified warnings. Currently, the Remote Oceanic Buoy Integrated Network (ROBIN) transmits watches and warnings based on earthquake detection. Then, observed sea-level data (from either shore-based tide gauges or deep-ocean buoys) are used to verify the existence of a tsunami.

Regional warning systems use regional seismic data to determine potential tsunami threats. Regional systems can issue warnings in less than 15 minutes. Although the epicenter and magnitude of an underwater quake and the probable tsunami arrival times can be quickly calculated, it is nearly impossible to know whether underwater ground shifts that create tsunami waves have occurred. However, disruption from false alarms is small because limited areas are warned.

Improved detection and prediction of tsunamis improves warning accuracy, but is useless unless threatened populations can be warned. Effective tsunami warning systems feature:

- Multiple lines of communications
- Hardened, dedicated systems
- Warning messages to multiple services and armed forces

The DoI wants to improve forecast accuracy, reduce the time to disseminate information, and reduce the deployment and support cost. System cost reductions would enable worldwide deployment to cover all at-risk areas.

The DoI will begin by funding the following tasks:

1. Improve sensor designs: Improve sensor accuracy, identify additional valuable data, and reduce the total cost of buoys containing sensors. The DoI plans to procure a minimum of 120 of the improved NEWS buoys over the next 3 years.
2. Improve warning accuracy: Study data analysis software and warning models
3. Improve alert systems: Recommend ways to improve alert systems

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Lead #4: Subcontract to Replace VOR/DME Air Navigation Beacons in the U.S.

Global Systems Integration (Global) is the Department of Transportation's (DOT's) prime contractor for the comprehensive upgrade of the U.S. VHF Omnidirectional Radio-Range/Distance-Measuring Equipment (VOR/DME) en route air navigation system. Global is competing a 7-year, two-phase subcontract for the ground-based radio beacons used to support onboard aircraft navigation. The winning bidder will build the beacons designed by Global and the DOT, install the beacons, coordinate individual beacon tests and systems tests with Global, and then maintain beacons for 5 years. Phase I, lasting two years, is to build, install, and test the replacement beacons. Phase 2 is for 5 years of maintenance support.

Currently, 500 beacons are installed throughout all 50 states. Installers will remove the existing equipment and install the new equipment in the existing housings. Each beacon is estimated to cost approximately $200,000, making the Phase 1 contract worth $100 million.

Meanwhile, the futures of the VOR/DME and corresponding military Tactical Air Navigation (TACAN) systems are in doubt. The Global Positioning System (GPS) continues to penetrate navigation applications. But while DOT and the Department of Defense continue studying options, VOR/DME is used by a wide range of commercial and private aviation users.

Global's DOT contract requires U.S. manufacturing and offers incentives for small business participation.

Lead #5: U.S. Customs and Border Protection's CHAMP Prototype

The U.S. needs to improve security of U.S. ports and the 11 million containers annually shipped through them. U.S. Customs and Border Protection (CBP), an agency of the Department of Homeland Security, already has initiated noninvasive, nuclear-hazard radiological container scanning in foreign ports and is seeking the ability to monitor, track, and report container status after foreign port inspection through delivery.

CBP's proposed Container Hazards and Monitoring Program (CHAMP) will continuously monitor the location, condition, and status of containers in transit. A small, inexpensive sensor and radio package (CHAMPack) will be attached to each inspected container and will regularly transmit to a central surveillance control center (SURVCON).

The CHAMPack will have temperature, acceleration, radiological, and explosive residue sensors, as well as an integrated Global Positioning System (GPS) package, analog-to-digital converters, a multiplexer, and radio transmitter. Selected data will be transmitted at programmable intervals from 1 second to 1 hour. SURVCON will analyse the data using classified algorithms to assess container status, threats, unauthorized opening, tampering, and unusual environmental conditions. SURVCON will prioritize data analysis to accommodate limited transmission bandwidth and high container volume.

(continued)

EXERCISE

(continued)

CBP will issue an RFP for design, development, testing, and manufacture of 200 prototype CHAMPacks with an 18-month delivery schedule. The CHAMP prototype project is budgeted at $2.4 million over 2 years. CHAMPacks will be field tested in 14 ports, using an existing military satellite data relay system.

In subsequent phases, CBP will seek funding for a dedicated satellite communication channel. CBP would require shippers to use CHAMPacks and would initiate a per-container charge to cover system-operating costs. In turn, the CHAMP system will reduce shippers' insurance cost and shorten delivery times by minimizing port inspection delays.

Shippers might also program CHAMPacks to transmit other data, or monitor the data stream independently to extract information outside CBP's area of interest. A shipper might charge a premium for information such as temperature of perishables or shocks experienced by fragile cargo.

Lead #6: Water Pollution Monitoring System

The Environmental Protection Agency (EPA) is discussing a contract to monitor water pollution in lakes, streams, rivers, harbors, and coastal areas. While single-pollutant monitors are routinely deployed, the EPA is seeking a reliable, affordable, multi-pollutant monitoring system. EPA envisions programmable monitoring buoys linked via satellite or cellular communications to a single monitoring facility. Much like programmable logic controllers used in many industrial control systems, each buoy will be programmed to monitor specific pollutants, set alarm levels, and trigger warnings at the central facility. To minimize cost, EPA envisions a buoy that incorporates modular COTS components. Entirely new component designs will be discouraged.

The successful bidder will need to design the overall system, design the buoys, develop software, and establish an effective training program. To minimize training cost and increase training flexibility, this comprehensive training program requires both distance learning and classroom elements. Technicians must be certified and annually recertified. The bidder will both design and operate the training program.

The initial contract is budgeted at $25 million for the study, buoy design, manufacture of 500 buoys, training program design, and initial six months of operation. EPA plans to issue regulations that define where buoys will be required. Industry and government agencies will be required to deploy monitoring buoys to be granted point-discharge permits. Industrial companies will have to purchase the buoys and certify technicians to maintain their discharge permits. While the design for these COTS buoys will be public, the winning OEM will have a significant advantage over follow-on manufacturers.

© Shipley Associates, Shipley Asia Pacific



Assess Each Opportunity

Assess opportunities to understand context, confirm what the customer will buy, and verify alignment with capabilities and strategic direction.

Utilise customer research

Opportunity assessment, leading to the pursuit decision milestone, is based on external research to learn more about the customer and the business opportunity itself. Key questions that should be answered during opportunity assessment include:

- Is it real?
- What is it?
- Can we provide it?
- Will the customer buy from us?
- What is the budget?
- How will it be funded?
- What is the schedule?
- Where will it take us?

Many public sources of information can be tapped at little or no cost during opportunity assessment. Figure **11** suggests some sources, together with examples of valuable information readily obtained from each source.

Sources of Opportunity Information	
Source	***Valuable Information***
AusTender (www.tenders.gov.au)	Australian Government business opportunities, annual procurement plans, multi-use lists and contracts awarded
Industry briefings	Procurement plans and schedules
Commonwealth and state budgets	Allocated funding
Press	Customer goals, concerns
Customer web site	Strategic plans, priorities
Meetings, conferences	Technical interests of attendees
Trade shows	Procurement needs
Customer personnel	Personnel assignments

Figure 11. Information Sources. *A wealth of information is available, particularly on government opportunities to support assessment and pursuit decisions.*

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Pursuit Decision Briefing

In this exercise, your team will prepare and present a pursuit decision briefing to upper management.

1. Review the NOAA dropsonde opportunity description (Lead #1).
2. Read additional information from the opportunity assessment by your Marketing Research Department on pages 38-39.
3. With your team, decide appropriate content for the pursuit decision presentation for a company like yours.
4. Prepare a 5-minute briefing recommending pursuit of the NOAA dropsonde opportunity.

© Shipley Associates, Shipley Asia Pacific

EXERCISE

MEMORANDUM

From: Marketing Research Department

To: Vice President, Business Development

Subject: DUDS Opportunity Assessment

Date: March 15, 20XX

As directed following the affirmative interest decision on the Demonstration Ultralight Dropsonde System (DUDS) program for the National Oceanic and Atmospheric Administration (NOAA), we have completed our opportunity assessment research. The following summary is provided.

Background

NOAA originally funded development of Global Positioning System (GPS)-enabled dropsondes for hurricane monitoring starting twelve years ago. The instrumentation research and basic design were performed under contract by the Laboratories for Instrumentation and Scientific Applications (LISA). Principal design support was furnished at that time by the University of Miami, a LISA consortium member.

Following successful field trials of prototype designs, Windslow Technologies of Liberty, Missouri, won a competitive manufacturing contract. Windslow provided operational GPS dropsondes to NOAA and the U.S. Air Force under an initial three-year contract, with a two-year extension. Five years ago, Windslow won a competitive, five-year contract renewal for further units of the identical model. There were no other offers at that time.

NOAA purchased receiver/data processor units for its aircraft and a ground station from Newmanix Logic of Bozeman, Montana. Newmanix furnished a commercial derivative of its military AGROS data link, dubbed the DLS-100. Since the original purchase to outfit the NOAA fleet, there have been no further procurements. NOAA handled the limited system integration tasks itself. The present ground station does little more than receive data from the aircraft. All the intelligent work is performed by end data users.

Present Acquisition

NOAA has several underlying motivations for the present acquisition. Most obvious is replacement of Windslow's manufacturing contract for operational units. The current contract has no options remaining, and NOAA's competition ombudsman is insisting on a true competition.

The technology is also now at least ten years old. NOAA knows that lighter sensors are available, and would like the benefits of more capable onboard and ground display systems. There is also political pressure to disseminate hurricane data more widely, so NOAA wants more onboard data processors and ground stations, too.

With several major upcoming international experiments, as well as predictions for increased hurricane activity due to global warming, dropsonde expenditure rates are expected to increase significantly. Internal NOAA predictions, according to press coverage and government documents, place dropsonde demand at 20,000 units over the next four years. Air Force demand will be additional.

The acquisition is being pushed by NOAA's Earth System Research Laboratory (ESRL) through its Boulder, Colorado development group. Principal users will be the Hurricane Research Center and the USAF 53rd Weather Reconnaissance Squadron.

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Given that all current system components are or were supplied by small businesses, the upcoming acquisition may well be a small-business set-aside.

Technical Requirements

NOAA is in a quandary over system requirements. Forecasters are basically satisfied with current system performance; they want more measurements rather than better ones. But research scientists always find uses for better data, so there is interest in measurement of additional parameters and some push for improved accuracy.

Great advantages could be achieved, especially as NOAA pursues deployment of unmanned aerial vehicles (UAVs), by making the sensors lighter. Foreign dropsondes are available at less than half the weight of Windslow's current production units. Funding shortages have prevented NOAA from acquiring these for evaluation.

Funding Considerations

Based on a CNN feature on government response to global warming, NOAA hopes to lower dropsonde costs toward $500 per unit. When combined with onboard receiver costs estimated via parametric models, and reasonable estimates for ground stations, the program is likely to be in the $9.5–13 million range.

The dropsonde program is not a separate budget line item. Previous development work has been buried within general capability research. Production has been funded from general storm forecasting monies. So the large production increases sought by NOAA could be problematic. The squeeze is worsened as various experimental programs attempt to latch onto the next generation plans. (NOAA's predicted manufacturing quantities have risen from 12,000 to 20,000 in the past six months.)

NOAA appears to be addressing its money problems by casting the replacement production contract as a research, development, and demonstration program. While a lighter-weight dropsonde is certainly a legitimate R&D goal, NOAA's planned target weight of around 250 grams is still heavier than commercial models already available in Europe. NOAA may be trying to open the door for an overseas supplier. Or, it may be setting a goal thought to be well within reach of domestic suppliers, but still somewhat lighter than current models. Low production volumes over past years have not motivated any domestic sources to develop competing designs.

By describing DUDS as an R&D effort, NOAA can tap additional funding lines. By incorporating "demonstration" production, it may be able to use those new funding sources to offset growing operational demands. Certainly there is no justification for manufacturing 20,000 units purely for demonstration purposes.

Final Analysis

The DUDS program will undoubtedly move forward in some form, because dropsondes will be needed for hurricane forecasting. It seems likely production targets will slip downwards from NOAA's currently-advertised 20,000. Possibly, they will dip even below the originally-discussed 12,000. If NOAA really plans to tap R&D funding sources, the sensor weight will probably have to be pushed lower than 250 grams.

Meanwhile, improved onboard and ground processing and display options will be very attractive and may help generate external support for the program from the forecasting community. Finally, departure of qualified system engineers since the system was designed over a decade ago means NOAA will have to outsource system integration tasks.



© Shipley Associates, Shipley Asia Pacific



Prepare a Capture Plan

Capture planning includes the external and internal analyses, strategy development, and action planning necessary to win business. A capture plan documents the results and helps track implementation.

Written capture plans:

- **Enhance thinking**
- **Impose discipline**
- **Build consensus**
- **Transfer information**
- **Identify gaps**

Capture management includes many activities, often extending over months or years. Pursued independently, some will be overlooked or receive inadequate attention. But as part of a coherent capture planning process, they can be executed in a balanced way. Synergies can arise. Competitive intelligence can be understood. Figure 12 illustrates the overall purpose of moving your organisation from an unknown position with a customer to a favoured position.

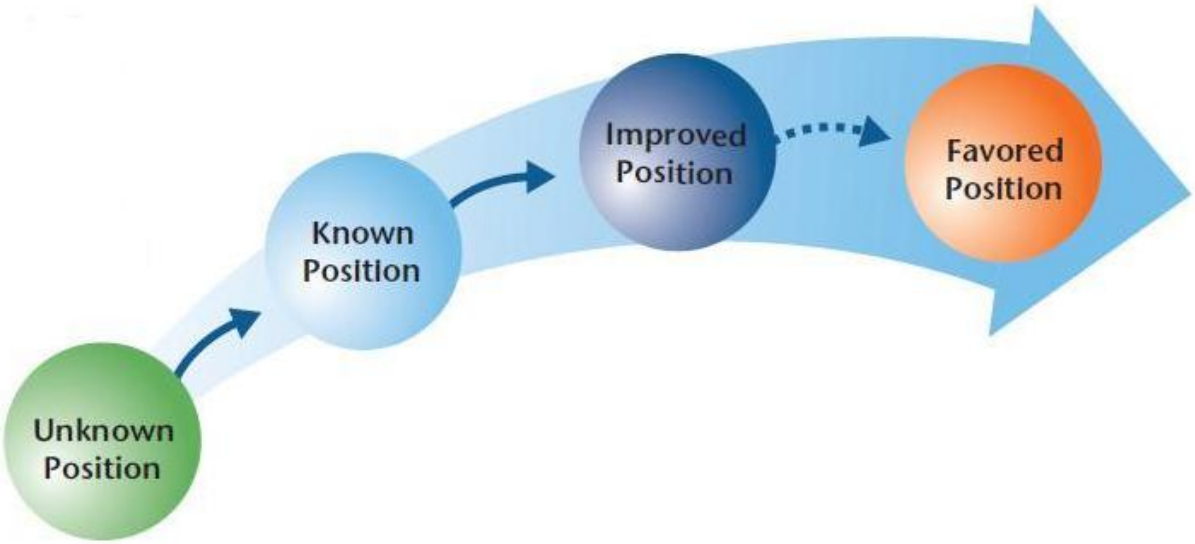


Figure 12. Capture Management Goal. *Effective capture management begins with your organisation in a relatively unknown position with the customer. Through research on the customer, the opportunity, and potential competitors, you can establish a known position. Through development of an appropriate solution, strategy, and price, you can advance to an improved position. Successful implementation of action plans helps you achieve and maintain a favored position. Capture plans are effective tools for conceiving, implementing, and monitoring these many tasks. They are great tools for communication up and down the chain of command.*

EXERCISE

Capture Plan Characteristics

In this exercise, you will identify characteristics of effective capture plans.

1. Review Fiberdyne and Fibers-R-Us capture plans provided to you.
2. Discuss and summarise the strengths and weaknesses of both plans on the chart provided.
3. List those characteristics that make a capture plan effective.

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Capture Plan Quality

Fiberdyne Capture Plan	
Strengths	**Weaknesses**
Fibers-R-Us Capture Plan	
Strengths	**Weaknesses**
Quality Standards	

Essential capture plan content

- Executive summary
- External analysis
- Internal analysis
- Strategy development
- Action plans
- Execution and monitoring

No single capture plan format is perfect for every opportunity or organisation. Some companies prefer detailed, written analyses. Others prefer presentation-style plans that encourage frequent updates and provide a basis for regular management reviews. This workshop uses a presentation style to simplify teaching about capture planning concepts.

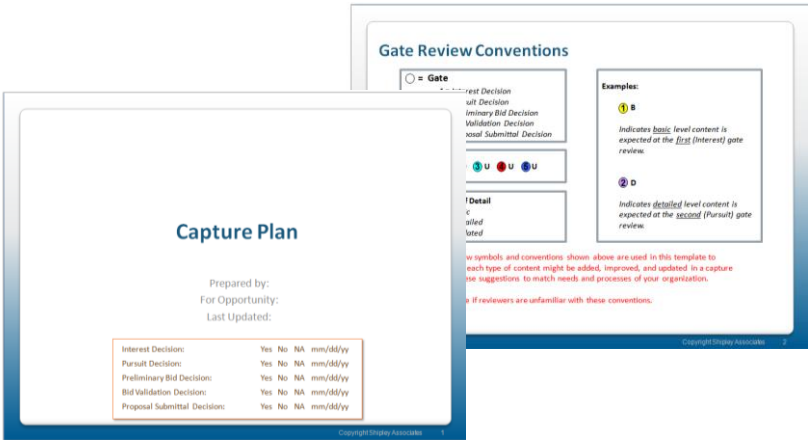


Figure 13. Capture Plan Template. *The format of a capture plan is not very important. The thinking involved in creating one is. In this workshop, you will use a presentation-style capture plan template. This can be conveniently adapted to changing needs.*

© Shipley Associates, Shipley Asia Pacific

Capture plans are living documents. They are seldom completed in order, because information is usually missing. As the customer moves toward release of the solicitation, information will change and become more specific. Use the process shown in Figure **14** to create the plan and obtain maximum value from it.

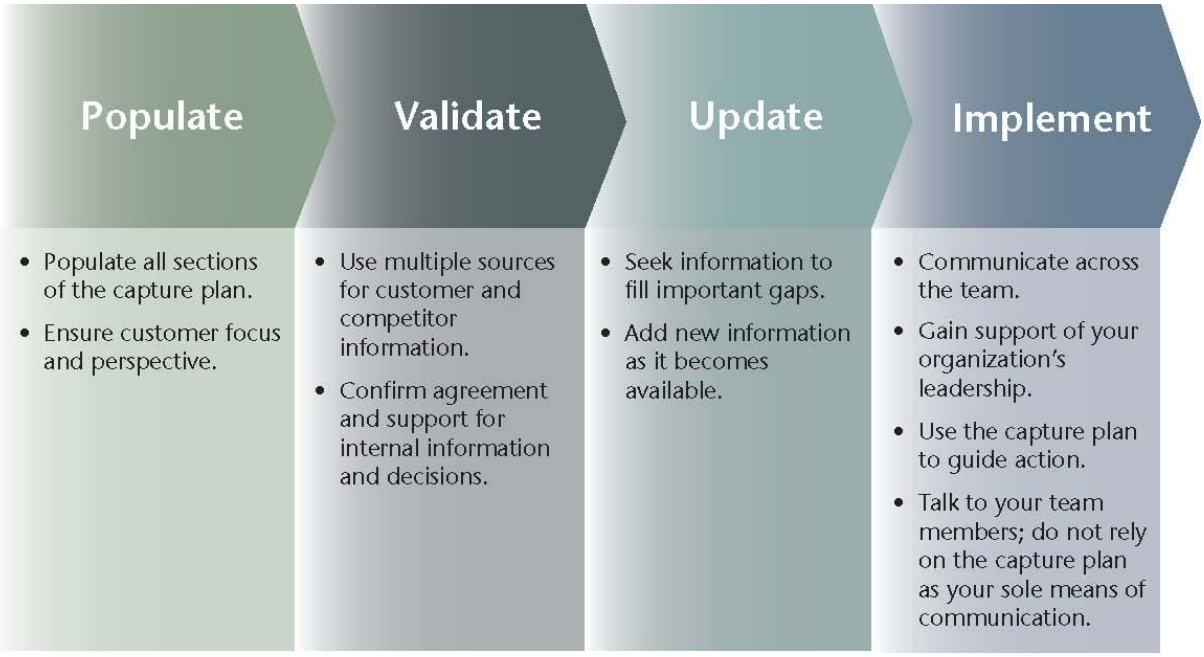


Figure 14. Capture Plan Development and Maintenance. *The capture plan is only as good and useful as the quality and currency of its content. Use this process to ensure your capture plan provides benefit throughout the capture planning phase.*

No organisation should become a slave to its processes. Make processes work by adjusting them to match organisational needs. A capture plan normally progresses as the opportunity unfolds, so companies commonly establish internal standards for which portions of the plan should be at various stages of maturity at each decision milestone.

Phase:	Opportunity Assessment	Capture Planning	Proposal Planning	Proposal Development	Post-Submittal
Decision Milestone:	*Pursuit*	*Preliminary Bid*	*Validate Bid*	*Submit Proposal*	*Submit FPR*
Executive Summary	Concept	Detail	Update	Update	Update
External Analysis					
Opportunity Description	Concept	Detail	Update	Update	Update
Customer Profile	Concept	Detail	Update	Update	Update
Customer Issues and Hot Buttons	—	Concept	Detail	Update	Update
Competitor Intelligence	—	Concept	Detail	Update	Update
Competitive Position	—	Concept	Detail	Update	Update
Bidder Comparison	—	Concept	Detail	Update	Update
Internal Analysis					
Price to Win	—	Concept	Detail	Update	Update
Technical/Management Solutions	—	Concept	Detail	Update	Update
Teaming and Subcontracting	—	Concept	Detail	Update	Update
Strategy Development					
Strategy Statements—Strengths	—	Concept	Detail	Update	Update
Strategy Statements—Weaknesses	—	Concept	Detail	Update	Update
Strategy Statements—Competitor Weaknesses	—	Concept	Detail	Update	Update
Strategy Statements—Competitor Strengths	—	Concept	Detail	Update	Update
Action Plans					
Customer Contact Plan	—	Concept	Detail	—	—
Intelligence Collection Plan	Concept	Detail	Update	—	—
Contingency Plan	—	Concept	Detail	Update	Update
Solution Development Plan	Concept	Detail	Update	Update	Update
Customer Risk Management Plan	—	Concept	Detail	Update	Update
Execution and Monitoring					
Decision Gate Record	—	Detail	Update	Update	Update
Opportunity Budget vs. Actuals	—	Concept	Detail	Update	Update

Figure 15. Capture Plan Growth. *This actual client sample shows how capture plan content can be tailored to the needs of the organisation, becoming more complete as milestones are reached. Note how most content is developed and refined only as it is needed by management. Subsequently, plan elements are updated until they pass the point of usefulness, then dropped.*

© Shipley Associates, Shipley Asia Pacific


LESSONS
LEARNED

© Shipley Associates, Shipley Asia Pacific

Customers and Competitors

© Shipley Associates, Shipley Asia Pacific



Collect Competitive Intelligence

Collection, analysis, and exploitation of competitive intelligence are the lifeblood of capture planning.

"Competitive intelligence is a necessary, ethical business discipline for decision making based on understanding the competitive environment."
—Society of Competitive Intelligence Professionals

Competitive intelligence, as a product, requires an ongoing competitive intelligence discipline. Organisations that can conceptualise an analytical framework have better luck identifying sources and analysing data to produce actionable intelligence.

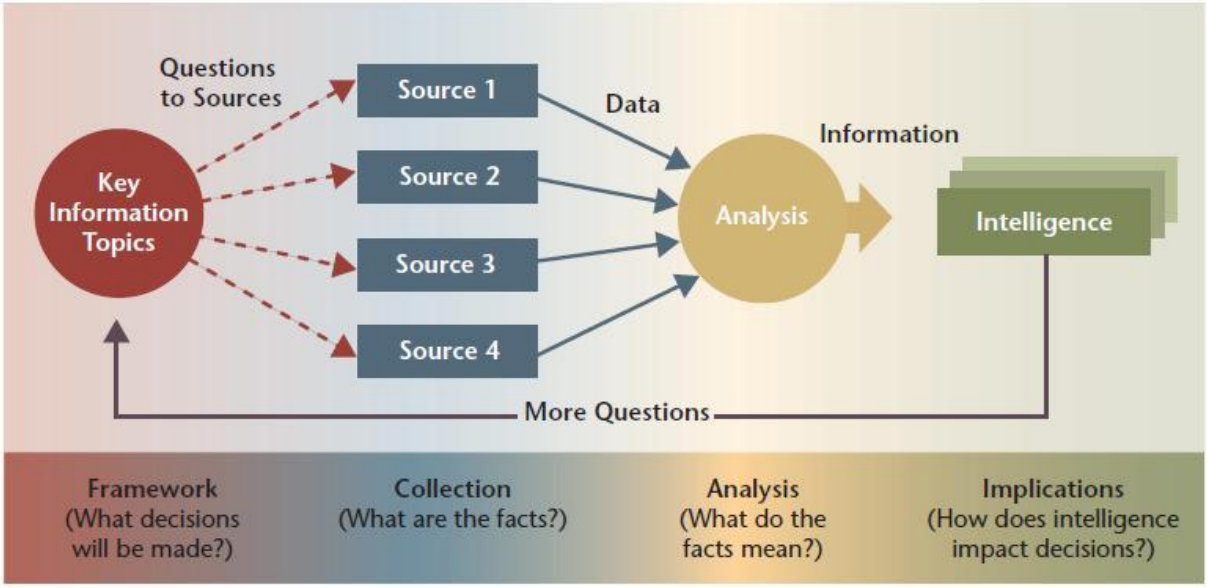


Figure 16. Competitive Intelligence Process. *Disciplined competitive intelligence collection goes on continually within effective business development organisations. As organisations learn, their questions improve and they can target sources very specifically.*

Seven steps of competitive intelligence

1. **Define information requirements**
2. **Identify sources**
3. **Acquire data**
4. **Analyse data**
5. **Assess impact**
6. **Act**
7. **Repeat**

Figure **17** lists the categories and types of competitive intelligence.

Competitive Intelligence			
Categories	***Features***	***Data Types***	***Features***
Customer	Available, perishable	Explicit	Open, shared
Competitor	Difficult to obtain, valuable	Implicit	Held by few, not shared
Company	Very available, not objective	Strategic	Long-term value
		Tactical	Short-term value

Figure 17. **Competitive Intelligence.** *There are three categories and four data types of competitive intelligence.*

Competitive intelligence, including the analysis of both customer and competitor information, feeds directly into capture strategy development. Strategy yields action plans that, when executed, modify the competitive situation.

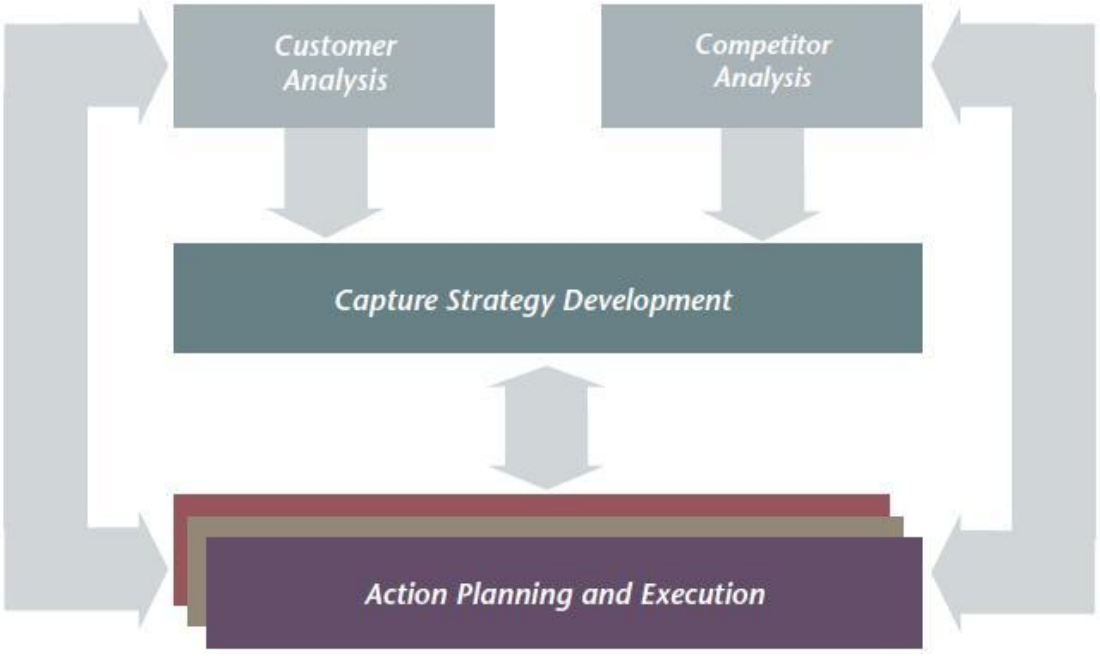


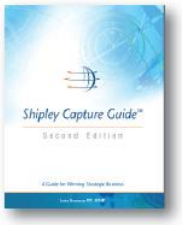
Figure 18. Interaction Between Intelligence, Strategy, and Action. *While competitive intelligence is the starting point for capture planning, strategies that result from it can affect the meaning or significance of information collected. As strategies change, different actions may be needed. The effectiveness or ineffectiveness of action can change the competitive landscape, requiring further adjustments of strategy. The continual, fluid interplay between customer, competitors, strategy, and action is a hallmark of capture planning. It is the reason capture plans must be constantly reappraised and updated.*

© Shipley Associates, Shipley Asia Pacific



Understand the Customer

Successful capture planning begins with understanding the customer's needs, issues, motivators, and hot buttons.



See Customer Focused Capture Skills and Tactics

Customer intelligence must be understood in the context of where the customer is in the buying cycle. Some information is not available at early stages or will change later. The capture manager cannot push an opportunity faster than the customer will accept or past the point for which the customer is prepared.

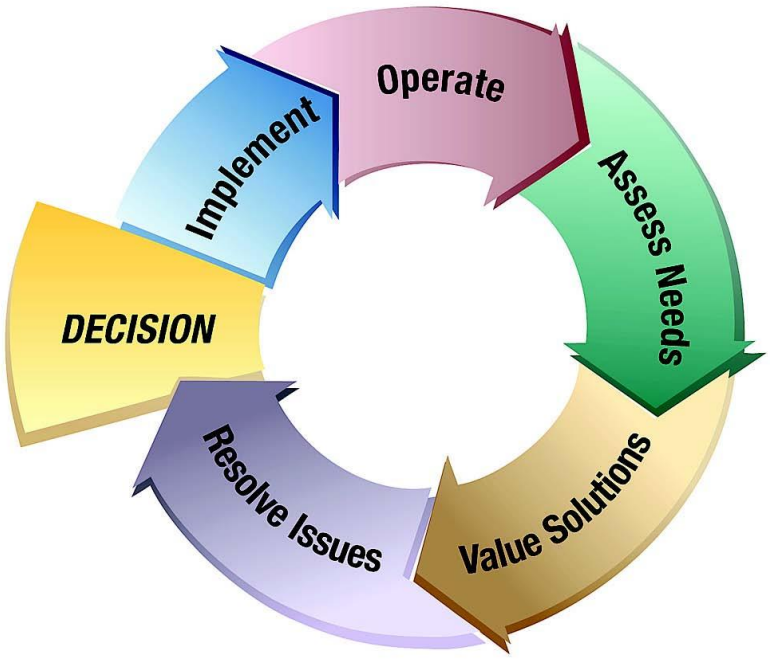


Figure 19. Buying Cycle. *When a customer reaches a purchasing decision, a new buying cycle begins. Even during implementation, shortcomings of the previous solution may be recognised. As the customer operates, systems wear out or become obsolete and processes no longer meet requirements. The customer begins to assess needs and consider how to address problems. Various solutions are explored and their relative values determined. Issues with the options are resolved and eventually another buying decision is made.*

Competitive potential declines as the customer moves through needs assessment toward assigning values to competing solutions. It declines precipitously when the RFP is released, and fades to zero as the purchasing decision nears.

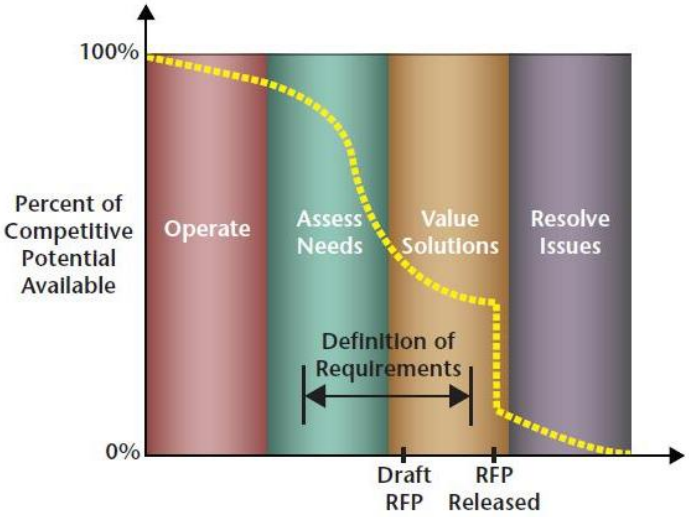


Figure 20. Declining Competitive Potential. *Early in the capture process, while the customer is operating, competitive potential is high. Many possibilities are open. As the customer assesses needs and begins defining requirements, flexibility falls rapidly. Competitive possibilities plunge when the RFP is released asking for proposals on a relatively specific solution. As issues are resolved, chances to influence the customer finally disappear completely.*

© Shipley Associates, Shipley Asia Pacific

One of the main goals of the capture manager, and a major purpose of customer intelligence collection, especially early in an opportunity's lifecycle, must be to identify, describe, and confirm the customer's hot buttons. No capture task will be more important in the long run than determining how the customer will make the buying decision.



Figure 21. Hot Button Issues. *Customer issues include more than just product or service requirements. Buying decisions can hinge on many factors. Only through a close and honest relationship with the customer can the capture manager identify the critical issues—the hot buttons—on which source selection will depend.*

Identify Decision Makers and Influencers

While organisations purchase products and services, multiple individuals in those organisations make and influence the purchasing decision. You must determine the relative power of these individuals and the issues that matter most to them in order to identify the overall hot buttons for the buying decision.

- *Decision maker* is the person who will make the final purchase decision.
- *Influencers* will influence the final decision. Influencers are typically users or have a specific role, such as technical, financial, or contractual.

Consider the following questions when identifying the decision maker and influencers.

Decision Maker

- Will this person make the final decision?
- Will this person make the final recommendation, then seek approval from the real decision maker?
- Is this a committee decision? Who dominates the committee?

Influencer

- If you were the decision maker, who else would you ask for input?
- Are any influencers outside the organisation?

© Shipley Associates, Shipley Asia Pacific

Engage with Customer Representatives

Some customers are keen to engage with potential suppliers as soon as a requirement is identified. Buyers and sellers may exchange information to:

- Improve understanding of customer requirements and supplier capabilities
- Allow potential offerors to judge whether or how they can satisfy requirements
- Enhance the customer's ability to obtain quality supplies and services at reasonable prices
- Increase efficiency in proposal development, proposal evaluation, negotiation, and contract award

Seize every opportunity as a chance to further your knowledge of the customer organisation.

Possible Topics	Suggested Techniques
· Contract type	· Industry conferences
· Terms and conditions	· Market research
· Acquisition schedule	· One-on-one meetings
· Feasibility of requirements	· Requests for Submissions
· Statements of work	· Draft RFPs
· Data requirements	· RFIs/EOIs
· Proposal instructions	· Presolicitation conferences
· Evaluation criteria	· Site visits
· Past performance	
· Reference documents	
· Industry concerns	

Figure 22. Exchanges with suppliers. *The table above summarises possible topics and suggested techniques for exchanges. The lists are not exclusive; suppliers may enter into broad and open discussions on virtually any topic related to a procurement with end users, procurement and support teams, and others involved in the conduct or outcome of the acquisition.*

Beyond the information that customers are prepared to divulge in public forums, look for the underlying issues that are core to both this procurement initiative and the organisation's operational imperatives.



ISSUES
Customer concerns; worry items that keep them awake at night

MOTIVATORS
Objectives the customer is trying to achieve

HOT BUTTONS
Consolidated subset of issues and motivators that will drive this buying decision

Figure 23. Issues, Motivators, and Hot Buttons. *Issues can be anything the customer worries about. Motivators are the main objectives the customer wants to achieve with the acquisition. Hot buttons are the most important factors that will swing the selection decision to one offeror or another.*

© Shipley Associates, Shipley Asia Pacific

Calculate a Power Rating

It is easier to write a strong win strategy around a few powerful issues than around many minor concerns

Over time you will assemble a long list of stated and implied issues from your decision maker and influencers. To make your win strategy comprehensible to your own team and to the customer, you need to reduce this to a reasonable number of hot buttons - a good number is between four and seven top issues. This way you can work with just a handful of powerful issues, rather than diluting your message by giving focus to minor subjects.

Power rating is the Shipley method for calculating a preliminary weighting of the customer's hot buttons. It has four steps:

1. Identify the *power* of each individual in the decision process.
2. Allocate a value for the *importance* of each of that individual's issues to them.
3. Calculate the Power Rating of each issue by multiplying *power* x *importance*.
4. Group similar issues to identify dominant hot buttons and calculate their overall weighting in the decision.

Name, Position	Power (1-10)	Issue	Importance (1-10)	Power rating
Adam Jones, CEO	10	Cost	10	100
	10	Quality	8	80
	10	Local content	2	20
Jin Tsao, CIO	8	Local content	10	80
	8	Implementation	5	40
Jamie Fenton, CFO	3	Cost	10	30
	3	Time to implement	9	27

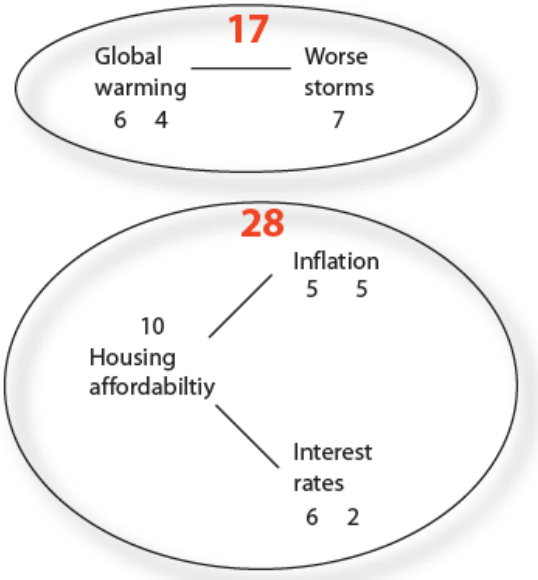
Power x Importance = Power Rating

Figure 24. Power ratings are used to gauge prospect weights for their major issues. Power *is the relative power of the individual on a 1 (low) to 10 (high) scale. Most decision makers will be a "10." Importance is the relative importance of that issue to the individual. Power Rating is the product of the power and importance ratings.*

If you have a lot of individuals and a lot of issues, you need some mechanism for gathering issues into clusters and allocating an overall score to them.

One way of gathering individual issues into powerful clusters is to simply write each issue down on a piece of paper, linking similar or related issues using lines. Then draw boundaries around groups of related issues, and total the individual power ratings to get an overall score for the cluster of issues that you have identified.

Alternatively you can use a spreadsheet like the Shipley strategy spreadsheet to collate your issues to clarify dominant themes.



ShipleyAsiaPacific

Name, Position	Power (1-10)	Issue	Importance (1-10)	Power rating	Hot buttons: Price	Quality	Time	Local content
Adam Jones, CEO	10	Cost	10		100			
	10	Quality	8			80		
	10	Local content	2					20
Jin Tsao, CIO	8	Local content	10					80
	8	Implementation	5			40		
Jamie Fenton, CFO	3	Cost	10		30			
	3	Time to implement	9				27	
					34	32	7	27

Figure 25. Group related issues to identify the most powerful hot buttons. *By using a spreadsheet you can automatically calculates a percentage weighting for each hot button.*

© Shipley Associates, Shipley Asia Pacific

Use Public Sources of Information

When a capture manager has no relationship yet with the customer, or when customers resist direct interaction, the only recourse is to turn to other—often public—information sources. Figure 26 lists helpful sources and suggests target data that may be available through them.

Source	Target Data
Staff from other business units	Hidden agendas, biases
Industry periodicals	Hot buttons, selection criteria
Procurement briefings	Schedules, small business requirements
Budget announcements and strategies	Funding priorities
Procurement history	Cost expectations, contract types
Prior proposal debriefings	Decision processes and reactions

Figure 26. Customer Intelligence Sources. *A wide range of mostly public information can provide insight on procurement plans and customer priorities, as well as insights into customer expectations.*

EXERCISE

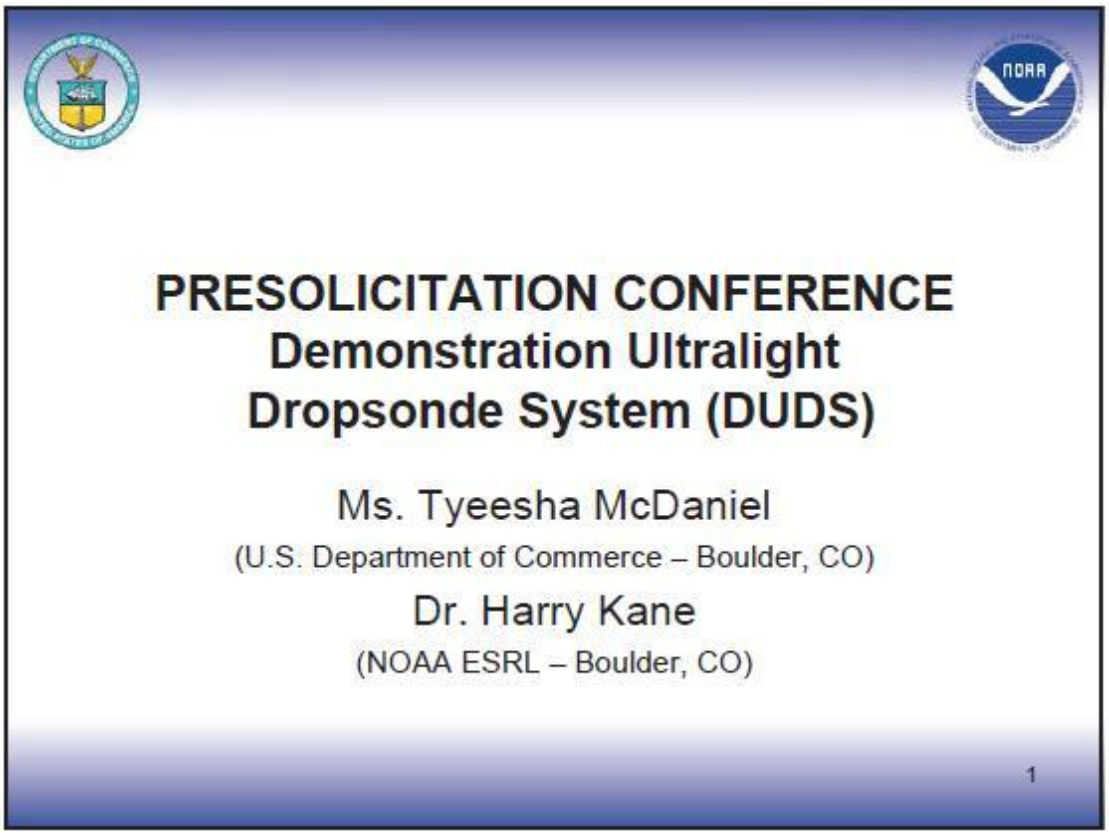
Customer Intelligence

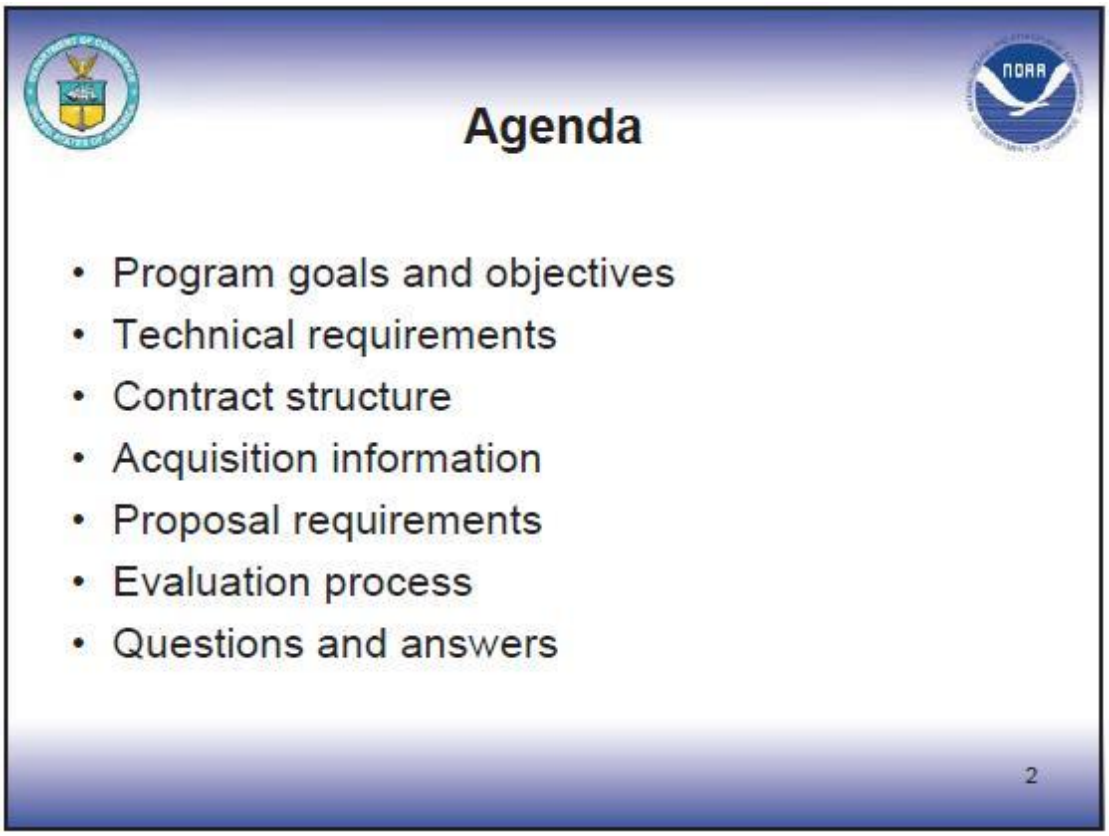
In this exercise, you will learn about an important source of customer intelligence, practice interaction with a customer, and consider what information to reveal to competitors

1. View the video simulating a presolicitation conference. Make notes on important customer information below.
2. Ask questions to gather more information, influence the customer, and impress or mislead the competition.
3. Complete pages 4-6 (the opportunity and customer portions) of the capture planner.)

© Shipley Associates, Shipley Asia Pacific

EXERCISE


PRESOLICITATION CONFERENCE
Demonstration Ultralight
Dropsonde System (DUDS)
Ms. Tyeesha McDaniel
(U.S. Department of Commerce – Boulder, CO)
Dr. Harry Kane
(NOAA ESRL – Boulder, CO)
1


Agenda
• Program goals and objectives
• Technical requirements
• Contract structure
• Acquisition information
• Proposal requirements
• Evaluation process
• Questions and answers
2

EXERCISE

DUDS Goals and Objectives

- Program Goal:
  - Reduce damage, injury, and death from coastal storms
- Program Objectives:
  - Improve forecast timeliness and accuracy by enhancing dropsonde technology
  - Increase commercial sources for dropsondes
  - Reduce dropsonde costs

3

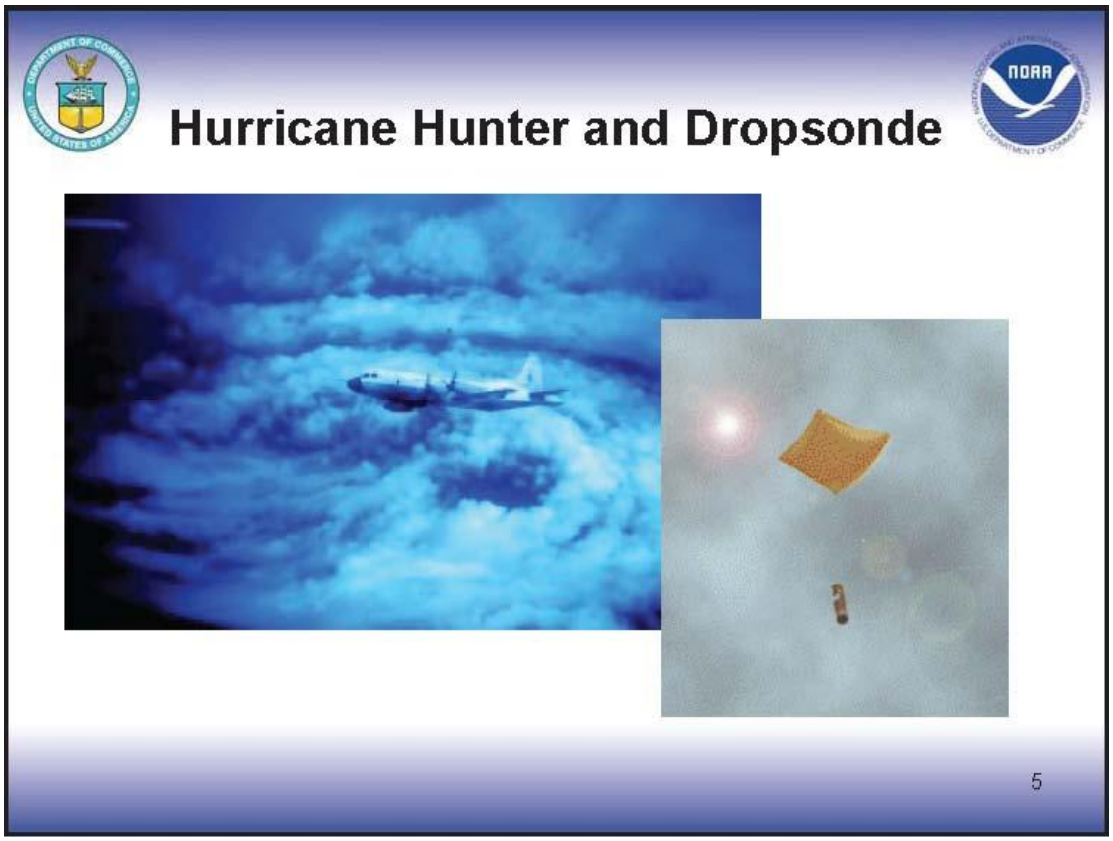
Hurricane Katrina
August 28, 2005

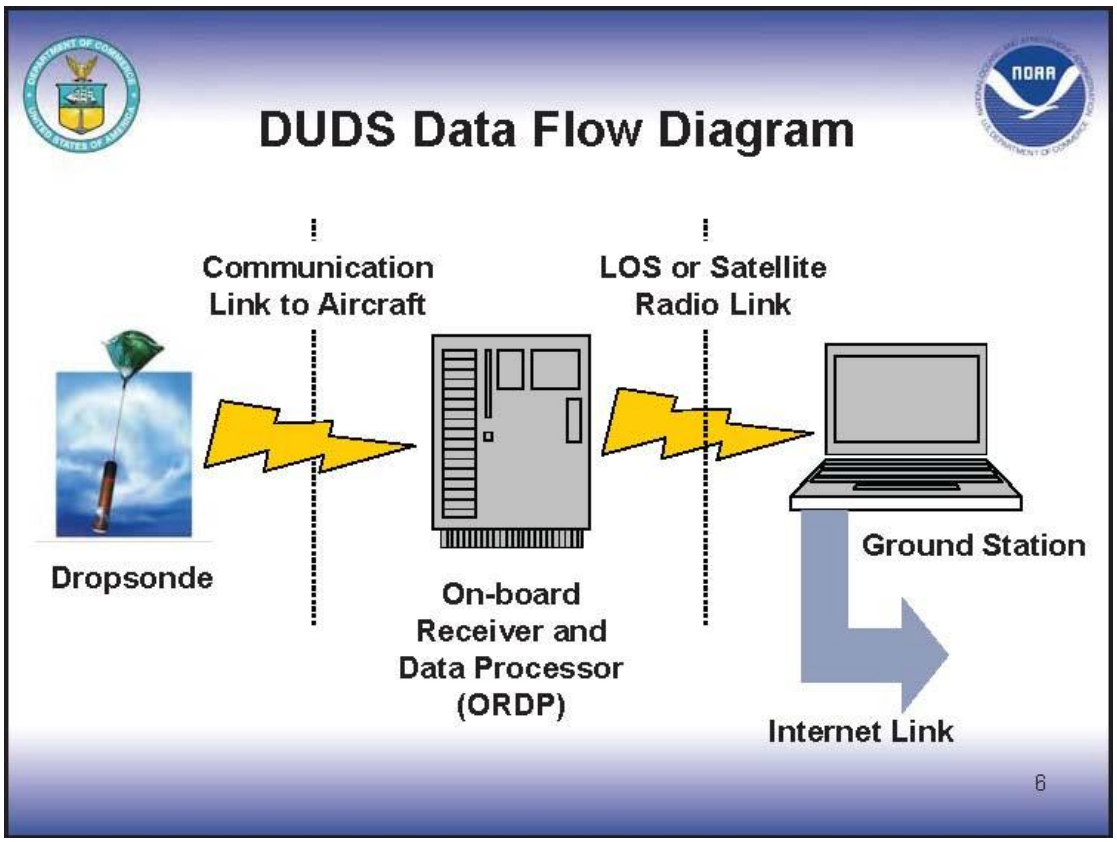


4

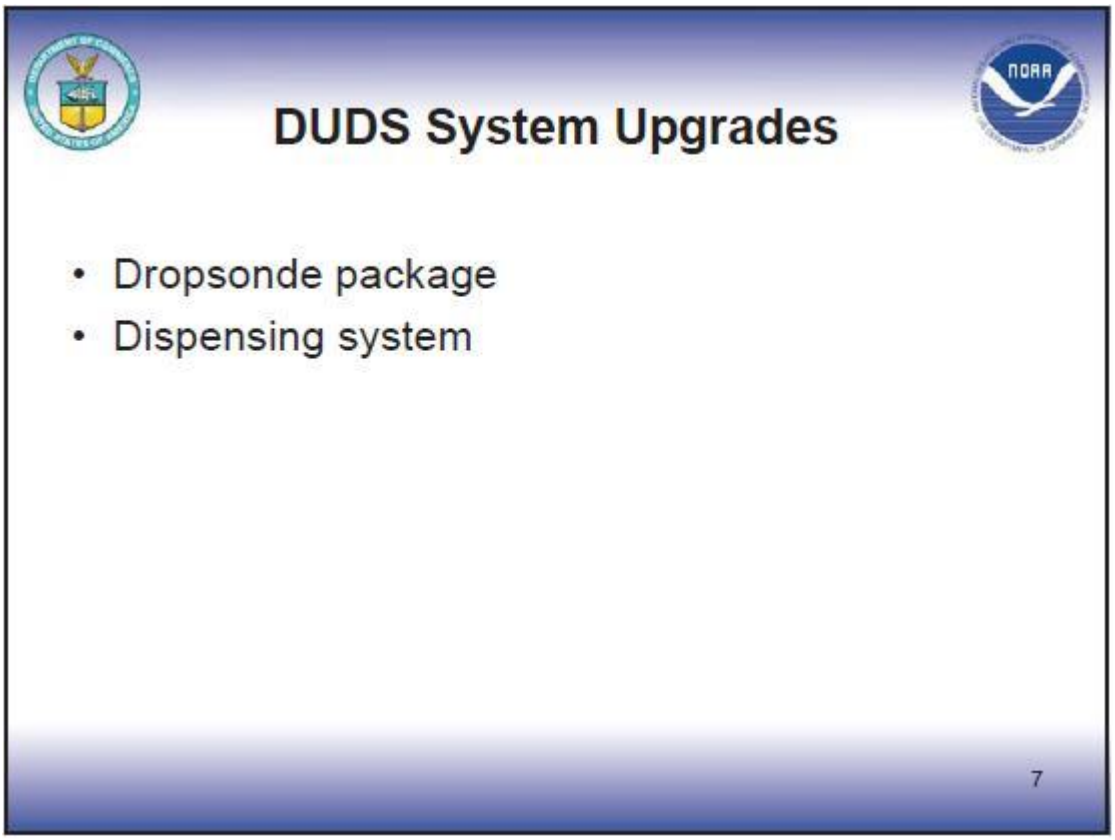
© Shipley Associates, Shipley Asia Pacific

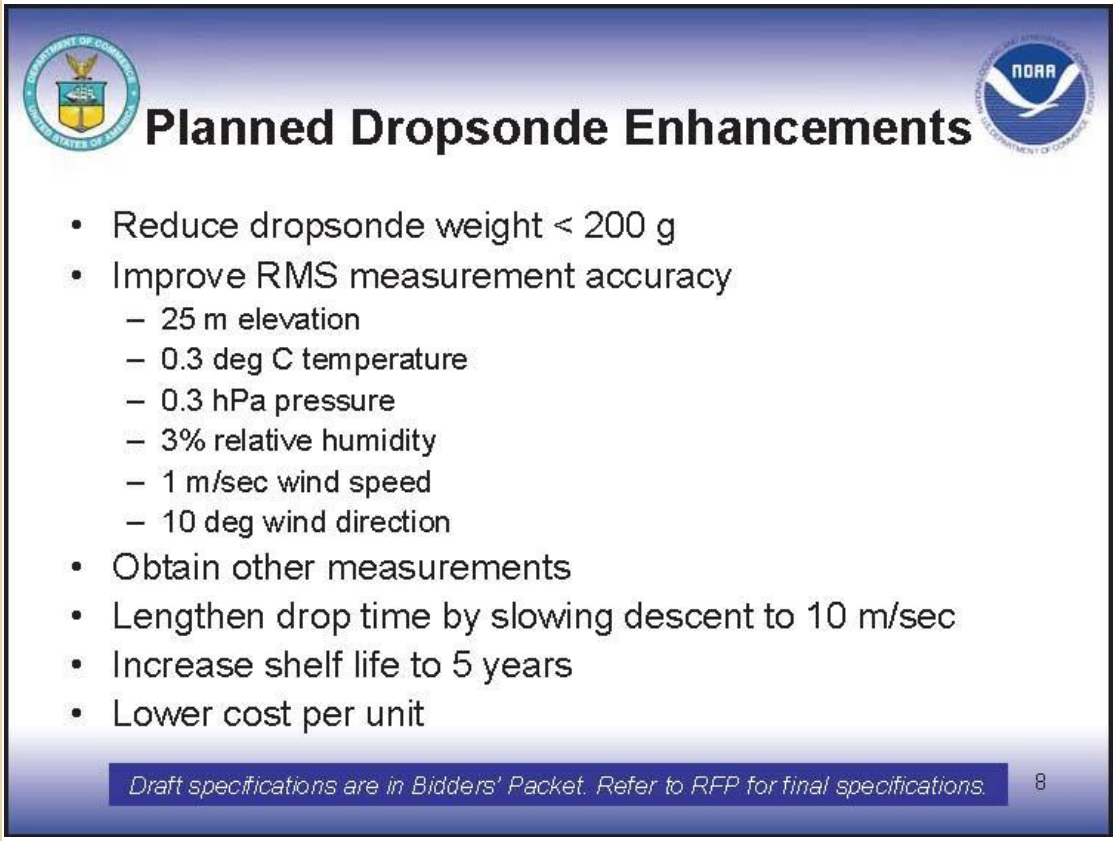
EXERCISE


Hurricane Hunter and Dropsonde
5


DUDS Data Flow Diagram
Communication Link to Aircraft
LOS or Satellite Radio Link
Dropsonde
On-board Receiver and Data Processor (ORDP)
Ground Station
Internet Link
6

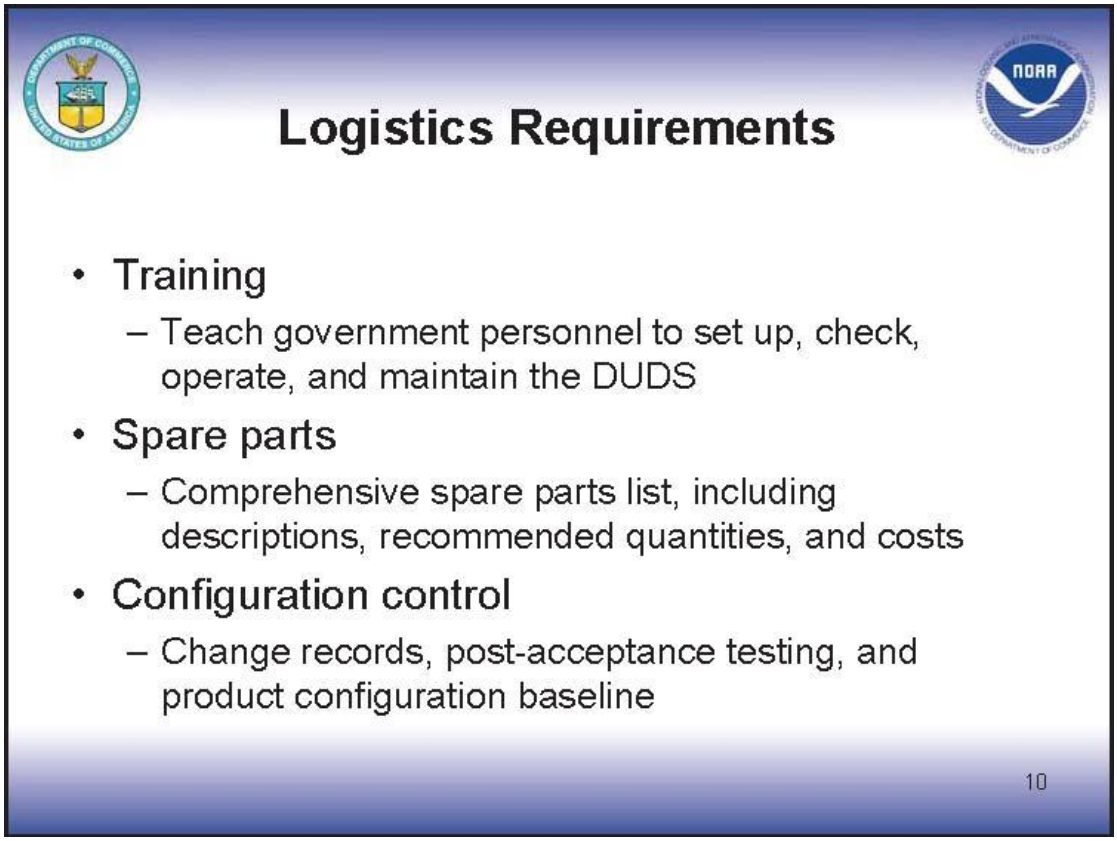
EXERCISE





© Shipley Associates, Shipley Asia Pacific


Government
Acceptance Test Phases
• Environmental chamber test
• Tower drop test
• Balloon flight test
9


Logistics Requirements
• Training
– Teach government personnel to set up, check, operate, and maintain the DUDS
• Spare parts
– Comprehensive spare parts list, including descriptions, recommended quantities, and costs
• Configuration control
– Change records, post-acceptance testing, and product configuration baseline
10

EXERCISE

Documentation Requirements

- Hardware Documentation
  - "As-built" drawings and schematics
  - Modifications needed to pass acceptance test
- Software Documentation
  - High-level, system, and program structure diagrams
  - End-to-end system flow diagrams
  - Individual program descriptions
- Technical Manuals
  - O & M manuals for all hardware/software

11

Scope of Contract: Major DUDS Tasks

- Design Activities
- Design Reviews
- Construction
- Delivery and Training
- Acceptance Testing
- Follow-on Production

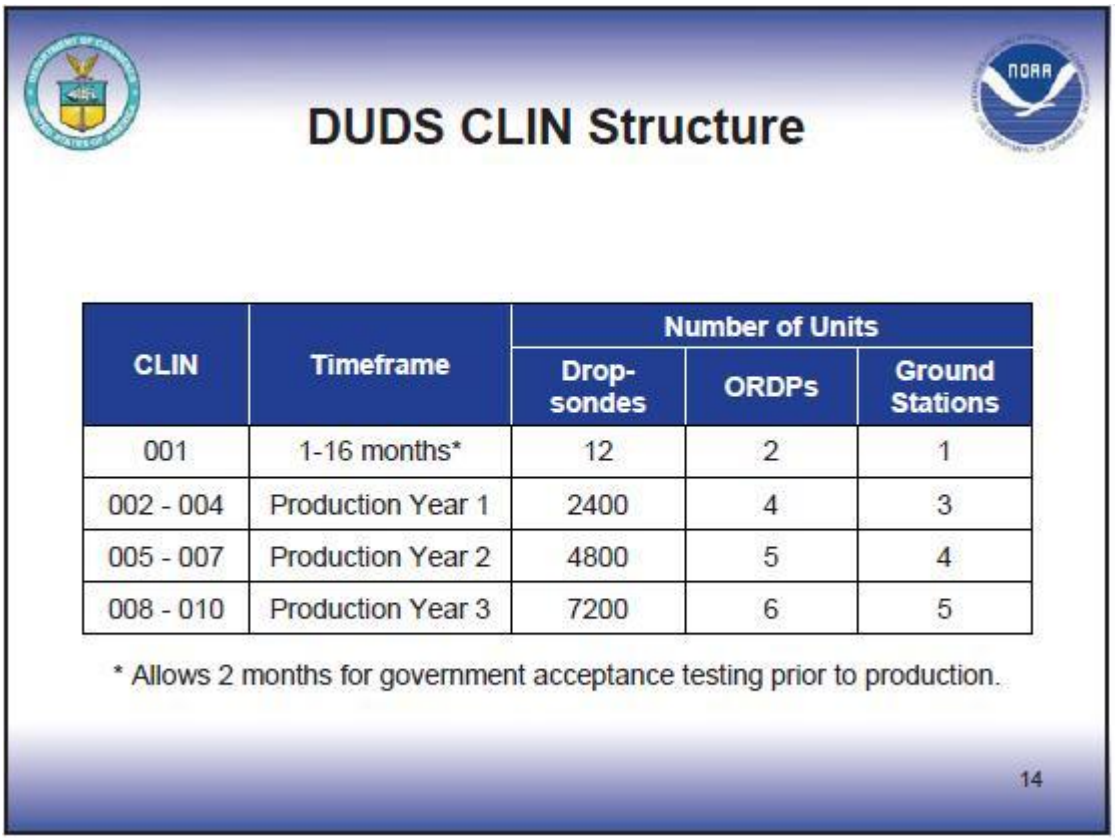
Draft scope included in Bidders' Packet. Refer to RFP for final scope.

12

© Shipley Associates, Shipley Asia Pacific

EXERCISE


Contract Structure
• Firm Fixed Price R&D contract
• Firm Fixed Price production
• 4 ½ year program
– 18 months research and development
– 3 years production
13


DUDS CLIN Structure
CLIN
Timeframe
Number of Units
Drop-sondes
ORDPs
Ground Stations
001 1-16 months* 12 2 1
002 - 004 Production Year 1 2400 4 3
005 - 007 Production Year 2 4800 5 4
008 - 010 Production Year 3 7200 6 5
* Allows 2 months for government acceptance testing prior to production.
14

EXERCISE

DUDS Acquisition Information

Solicitation Number	RA123R-0X-RP-1234
Solicitation Type	Negotiated
Award/Selection	Single award, best value
RFP Release Date	July 1
Proposals Due	12:00 PM local time, August 1
Issued By	U.S. Department Of Commerce Boulder Labs -GB506A Acquisition Management Division/MC3 325 Broadway Boulder, CO 80305
For Information Call	Tyeesha McDaniel, Contracting Officer
Telephone Number	(303) 555-1234
E-Mail Address	tyeesha.mcdaniel@noaa.gov

15

Small Business Information

- NAICS Code: 334511
- Small business size standards
  - 750 employees
  - 500 employees for concern which proposes product it will not manufacture
- Full and open competition
  - Small business competes effectively in this market
  - R&D may require large business
  - Specific goal to expand number of competitors
- FAR 52.219-8 will be included

16

© Shipley Associates, Shipley Asia Pacific

DUDS Proposal Requirements

Volume	Subject	Page Limit
I	Technical/Management	25
II	Past Performance	2 pages/summary x 12 summaries
III	Price	None

17

Volume I: Technical/Management

Technical Capabilities	Technical Approach	Management Approach
Research and Development	System Design	Organization
Design and Production	Operational Design	Key Personnel
Atmospheric Measurements	Construction	Teammates or Subcontractors
Communication Links	Documentation	Transition to Production
Software Performance	Logistics	Facilities and Planning

18

EXERCISE

Volume II: Past Performance

- Past performance information sheets
  - 8-12 examples for government verification
  - Similar nature, size, scope
  - Performed over past four years
  - Relevant contract information
  - Problems encountered and corrective actions
  - Awards/certifications/quality processes
- Past performance questionnaires
  - Forward to program managers and COs knowledgeable about work on above contracts

19

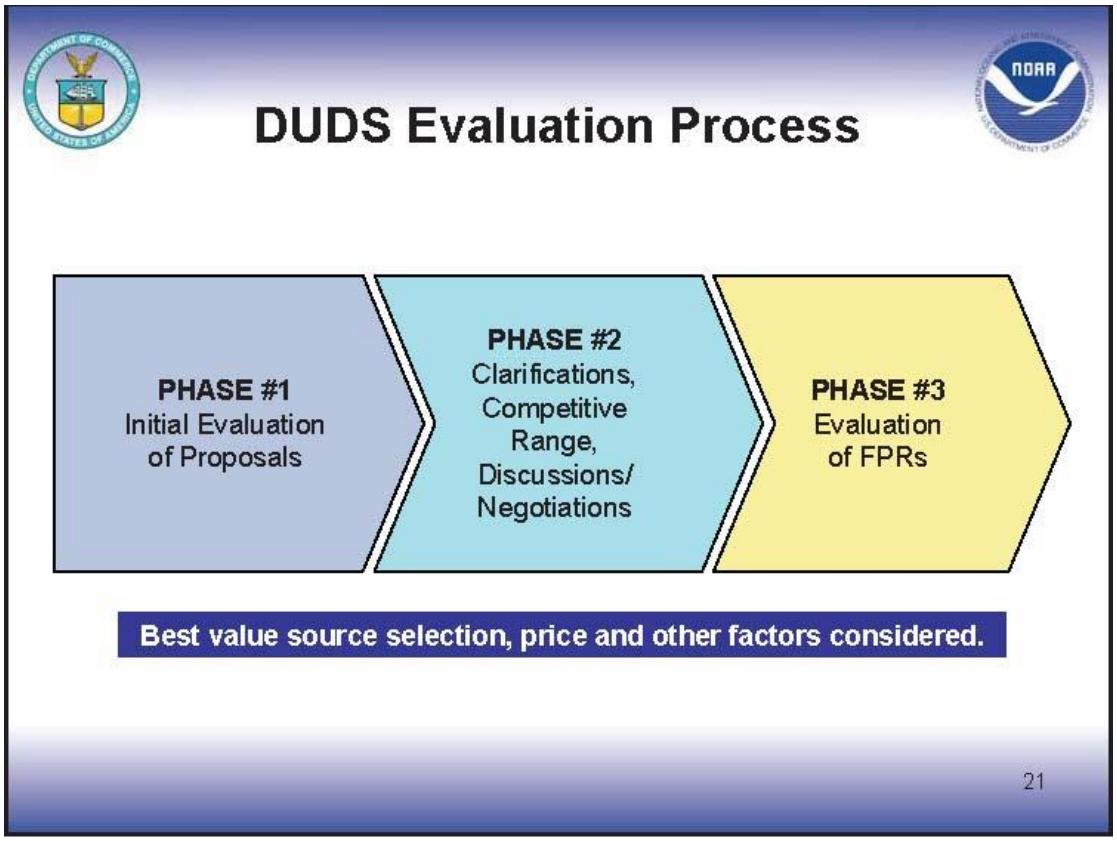
Volume III: Price

- Cost breakdown by CLIN
  - Unit and extended prices
  - Inclusive of preservation, packaging, shipping
- No additional cost or pricing data required
- Deliveries FOB Boulder, CO

20

© Shipley Associates, Shipley Asia Pacific

EXERCISE


DUDS Evaluation Process
PHASE #1
Initial Evaluation of Proposals
PHASE #2
Clarifications, Competitive Range, Discussions/ Negotiations
PHASE #3
Evaluation of FPRs
Best value source selection, price and other factors considered.
21


Evaluation Factors for Award
(In Order of Importance)
1. Technical Capabilities
2. Technical Approach
3. Management Approach
4. Past Performance
5. Price
22

EXERCISE

Evaluation Subfactors for Technical/ Management Volume

Factor 1: Technical Capabilities	Factor 2: Technical Approach	Factor 3: Management Approach
Research and Development	System Design	Organization
Design and Production	Operational Design	Key Personnel
Atmospheric Measurements	Construction	Teammates or Subcontractors
Communication Links	Documentation	Transition to Production
Software Performance	Logistics	Facilities and Planning

23

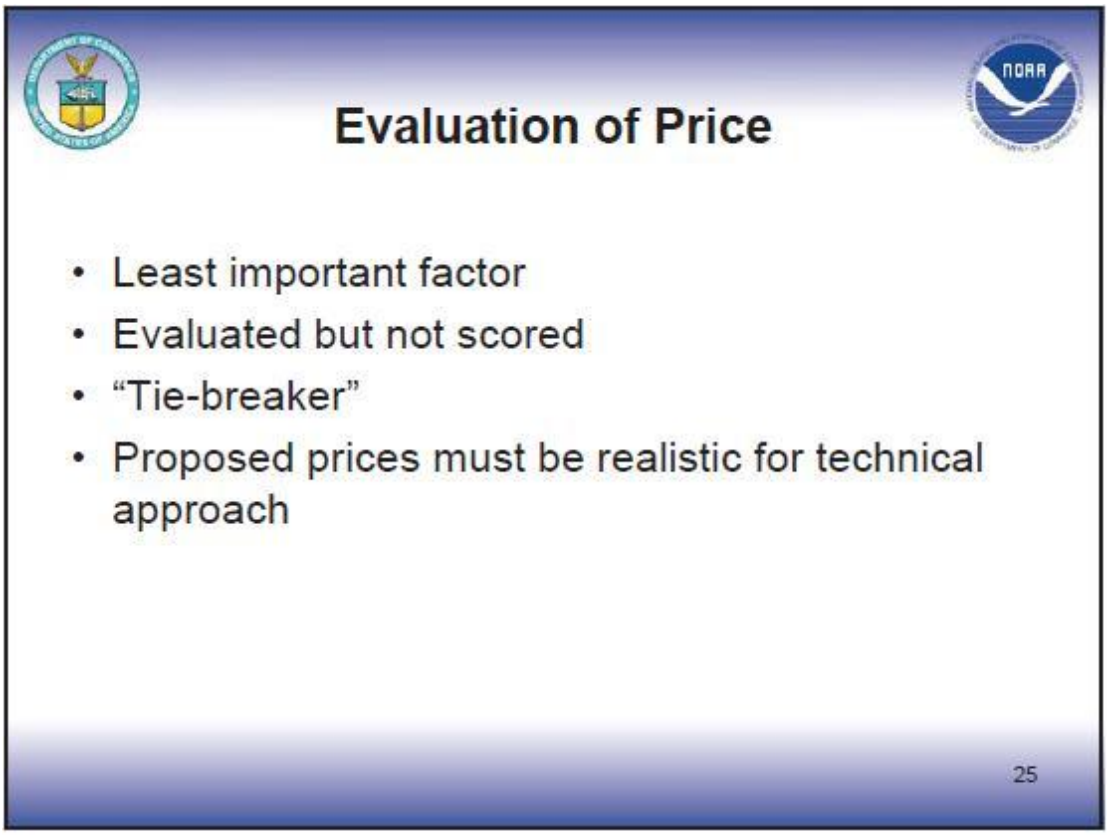
Evaluation Subfactors for Past Performance Volume

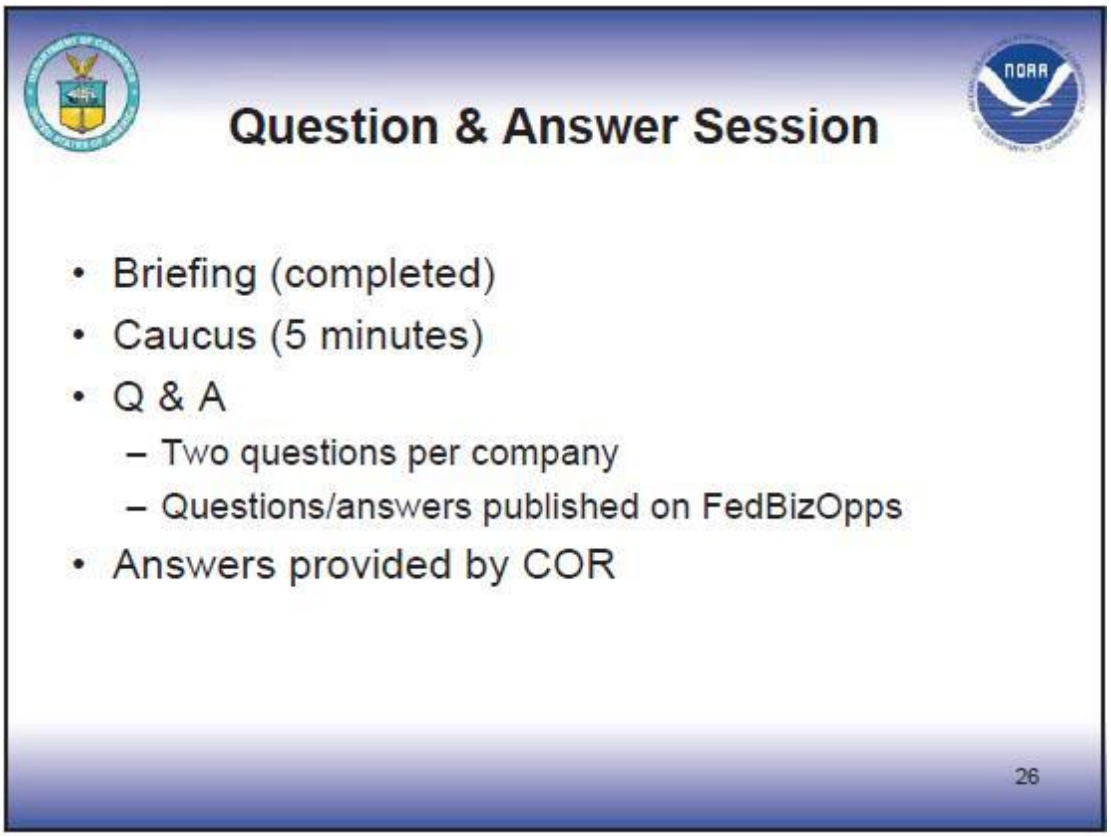
- Quality of services and products
- Effectiveness of cost management and controls
- Timeliness of performance
- Customer satisfaction

24

© Shipley Associates, Shipley Asia Pacific

EXERCISE


Evaluation of Price
• Least important factor
• Evaluated but not scored
• "Tie-breaker"
• Proposed prices must be realistic for technical approach
25


Question & Answer Session
• Briefing (completed)
• Caucus (5 minutes)
• Q & A
– Two questions per company
– Questions/answers published on FedBizOpps
• Answers provided by COR
26

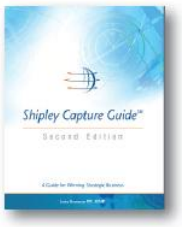


© Shipley Associates, Shipley Asia Pacific



Undertake Competitor Analysis

Before you can develop a unique offer, you must understand your competitors' capabilities and solutions and the customer's perceptions of their relative standing.



See Strategy

The purpose of collecting competitor intelligence is to enable competitor analysis or profiling. The goal of competitor analysis is to predict responses to business opportunities and situations. Strategies, both offensive and defensive, can be formulated to counter expected competitor actions.

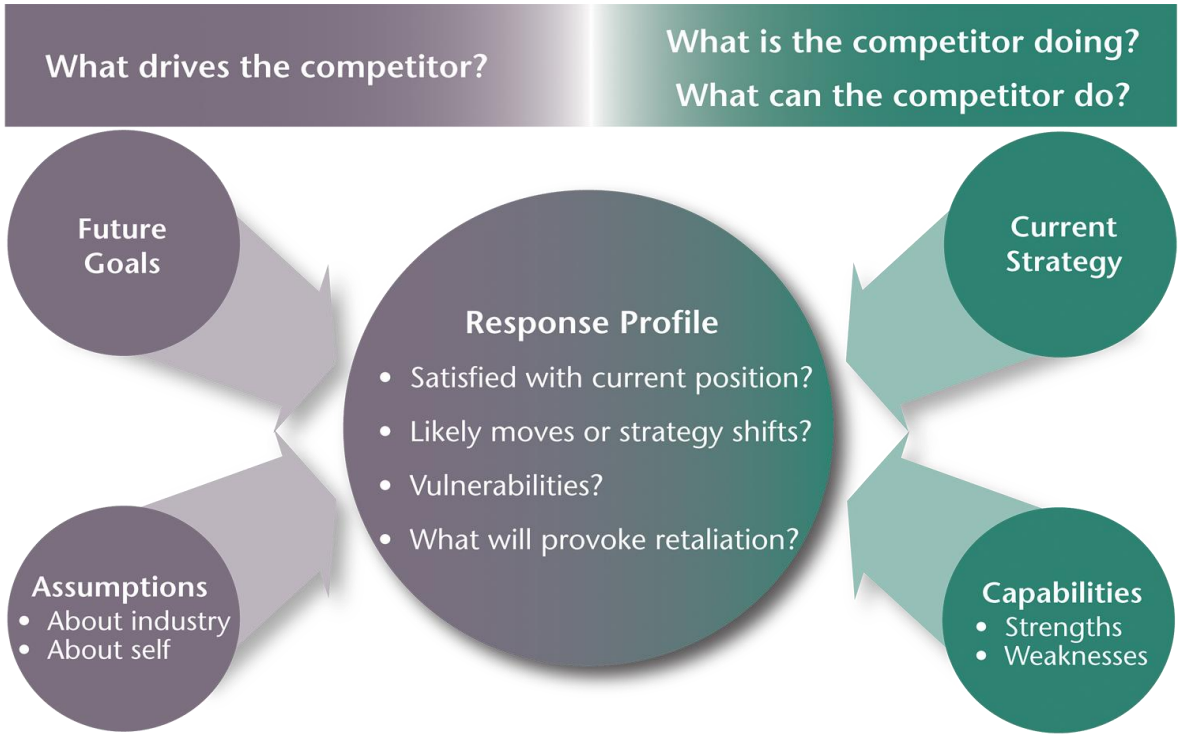


Figure 27. Competitor Analysis. *By examining what drives a competitor on one hand and what the competitor is doing or can do on the other, a response profile can be created. The profile helps predict actions the competitor will take in a given situation. In particular, the profile considers how satisfied the competitor is with its current position and what shifts it might make in response to change or the new opportunity. It also examines where the competitor is vulnerable and what might provoke a retaliatory response.*

Competitor profiling or analysis must consider a very wide range of information. Figure **28** shows several of the more and less tangible types that can be important in predicting and countering competitors' actions.

More Tangible	Less Tangible
· Products or services	· Management profiles
· Technology	· Sociopolitical
· Operations	· Human resources
· Organisational structure	· Competitive intelligence capacity
· Marketing approaches	· Customer value analysis
· Strategy	
· Financial	

After M. E. Porter, *Competitive Strategy: Techniques for Analysing Industries and Competitors*, The Free Press, 1980, 1988.

Figure 28. Competitor Profile Information. *Michael Porter's ground-breaking 1980 book, Competitive Strategy: Techniques for Analysing Industries and Competitors, demonstrated how many things can influence competitors. The information types listed above could all contain keys to successful capture management as an organisation tries to rise above its competitors in the customer's view.*

© Shipley Associates, Shipley Asia Pacific

Intelligence sources, especially on public companies, often need not know why they are supplying information. Research on potential suppliers and competitors is commonplace in industry and generally raises no suspicions.



Figure 29. Open Sources on Competitors. *Hundreds of sources of information on public companies exist. Most are free or very inexpensive. Look for sources likely to have relevant information you need in the general sectors shown. Remember that information on business relationships with the government is usually publicly available, unless it reveals proprietary business information of the competitor.*

Behave ethically and legally

- **Obey laws**
- **Disclose identity**
- **Avoid conflicts of interest**
- **Be honest**
- **Follow company policies**

—Taken from the SCIP Code of Ethics

Black Hat Reviews

A Black Hat review convenes a team with knowledge about competitors to predict how they will approach a given acquisition. The review team uses all available intelligence about the competitors to forecast their probable solutions and discriminators.

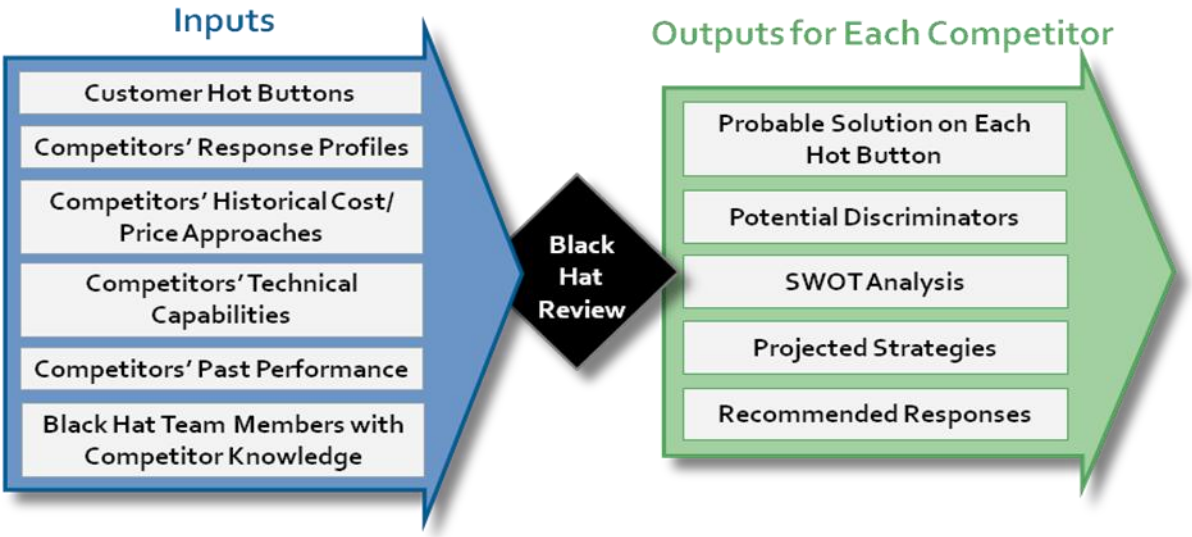


Figure 30. Black Hat Review. *Black Hat review members are often divided into teams representing various competitors. Using competitive response profiles, each competitor's most plausible solution to the customer's needs is estimated. Discriminators are identified on which the competitor will likely base its proposal. A SWOT analysis is conducted from the competitor's perspective to envision strategies the competitor is likely to follow. From an understanding of the resulting mindset, countering responses are recommended.*

Understand discriminators

Discriminators are (1) features of your solution that differ from at least one competitor's solution, and (2) the prospect cares about the difference.

Discriminators relate directly to prospect issues.

Use caution when identifying discriminators. Consider the following questions:

- Could a competitor plausibly make the same claim?
- Can you define or state your discriminator more precisely?
- Would the prospect know what it is?
- Does the prospect really care, or are they just being polite?

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Competitor Intelligence

In this exercise, you will complete the competitive analysis portion of the capture plan by analysing each competitor and your own company.

1. Divide analysis tasks among team members.
2. Complete all sections of the two-page competitive analysis for all competitors and your own company on pages 7-14 of the capture planner.
3. Be sure to complete a solution analysis for each hot button on the second page of the competitive summary. Determine if the solution creates a discriminator or a shortfall.

© Shipley Associates, Shipley Asia Pacific

Prepare a Bidder Comparison

Objective comparison of bidders is the foundation of capture and proposal strategies.

"Know the enemy and know yourself; in a hundred battles, you will never be in peril."

—Sun Tzu, *The Art of War*

The culmination of competitive intelligence collection is creation—and ongoing update—of the bidder comparison chart. This may be the most powerful tool at the capture manager's disposal to foster understanding of relative positions of competitors in the customer's eyes. It will be the foundation of meaningful strategy formulation.

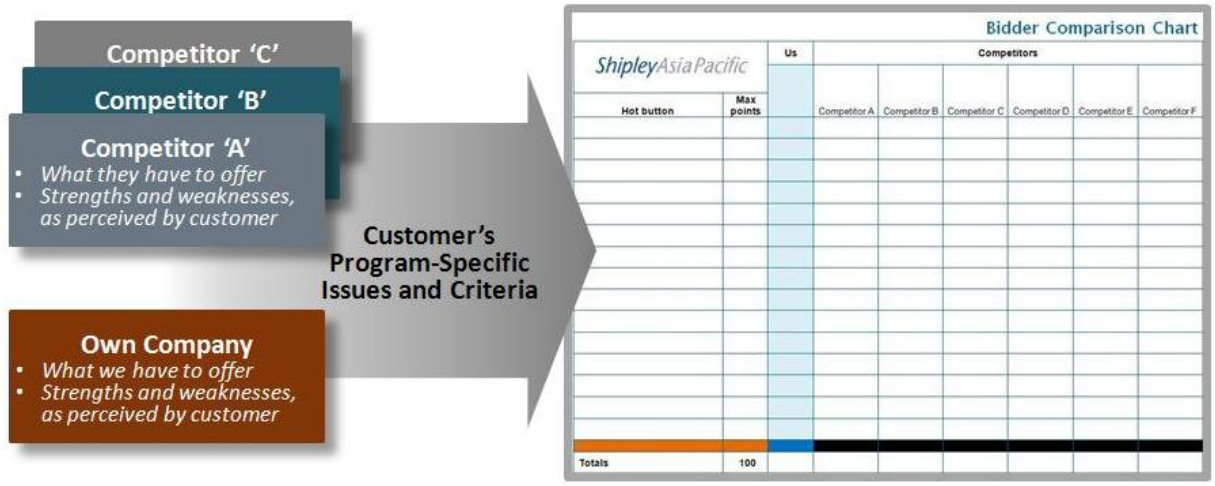


Figure 31. Bidder Comparison Chart. *Comparisons you make between your company and other bidders must be based on customer issues, needs, and viewpoints.*

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Complete a Bidder Comparison Chart

In this exercise, your will prepare a Bidder Comparison Chart on a flip chart. (You may wish to record your team's work on page 15 of your capture planner.)

1. List the customer's hot buttons.
2. Assign weighting factors from 1–3 to all hot buttons.
3. Give competitors 0–10 scores on all hot buttons.
4. Multiply raw scores by their corresponding weighting factors.
5. Sum the weighted scores.
6. Be ready to discuss your methodology and results.

© Shipley Associates, Shipley Asia Pacific



© Shipley Associates, Shipley Asia Pacific

Execution

© Shipley Associates, Shipley Asia Pacific



Validate your Solution Set

The capture manager must develop a validated solution set comprising a winning price, consistent technical and management approaches, and a capable team.

Determine Price to Win



See Price-to-Win

The first element of a validated solution set is a winning price. Customers balance price against capability (or past performance), which can also be viewed by the customer as risk. Pricing to win is fundamental to capture planning.

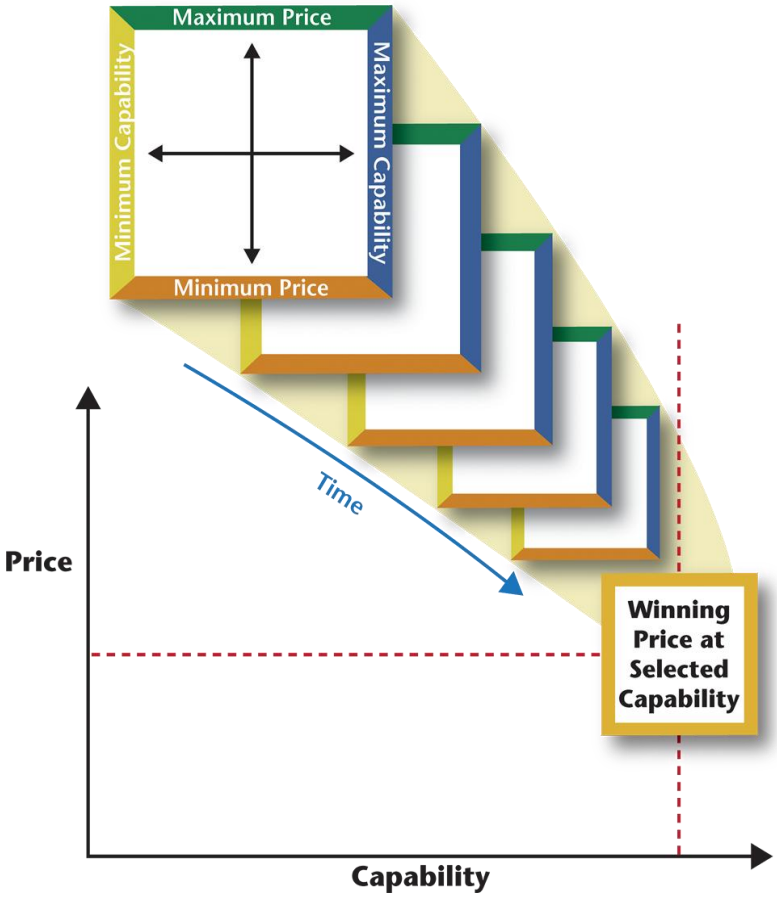


Figure 32. Winning Price Window. *The winning price window narrows over time as customers learn their needs and what solutions are available.*

Understanding the customer's buying type helps zero in on a winning price. Customers may be budget-limited, capability-satisfied, or best-value buyers.

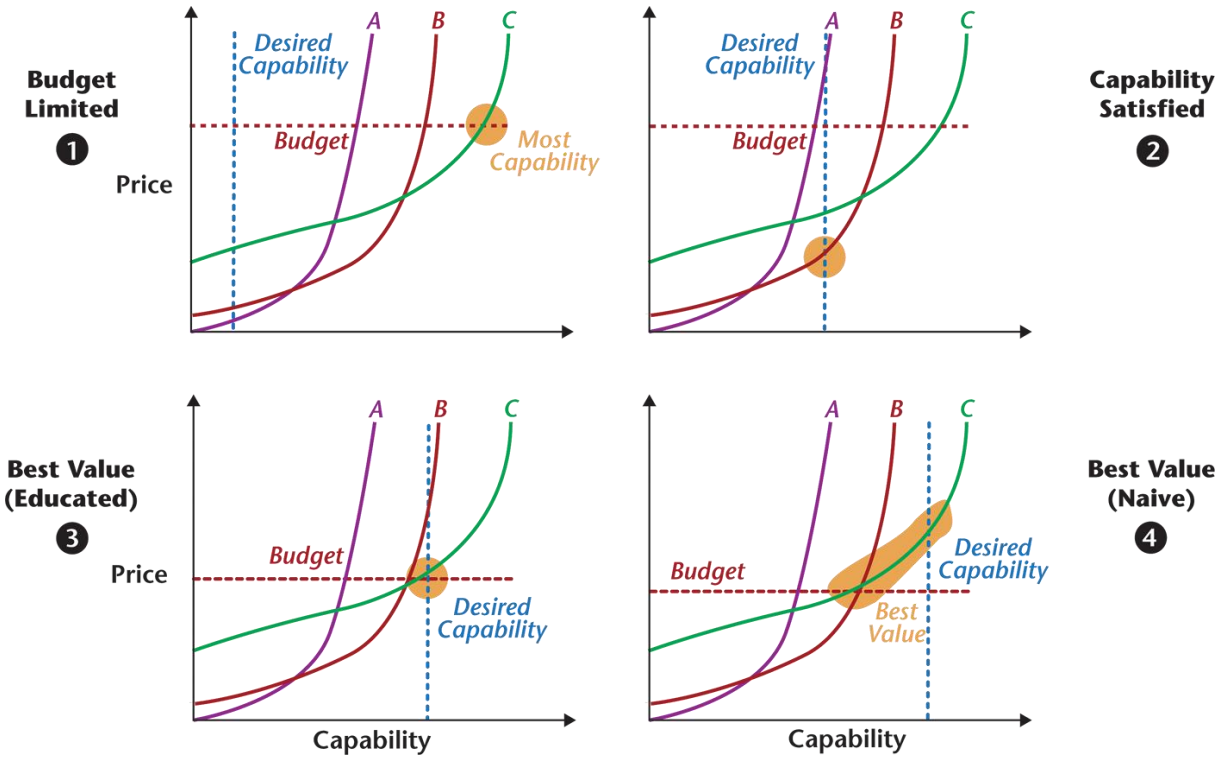


Figure 33. Buying Type Controls Source Selection. *The four scenarios show price-capability curves for three competitors: A, B, and C. In Scenario 1, the budget-limited buyer buys the most capability available for the budget. In Scenario 2, the capability-satisfied buyer buys no more capability than needed, even though it is affordable. Scenario 3 shows an educated, best-value buyer whose budget was determined with knowledge of the market. Scenario 4 shows a disappointed, naive, best value buyer who must somehow come up with more funding to avoid sacrificing capability.*

© Shipley Associates, Shipley Asia Pacific

Three things influence winning price:

1. **Should-cost analyses**
2. **Budget limit and funding profile**
3. **Competitors' bids**

A price-to-win knowledge base, integrating competitive intelligence on the customer, the competitors, and the company, is built over time and maintained so it is available to support individual capture efforts.

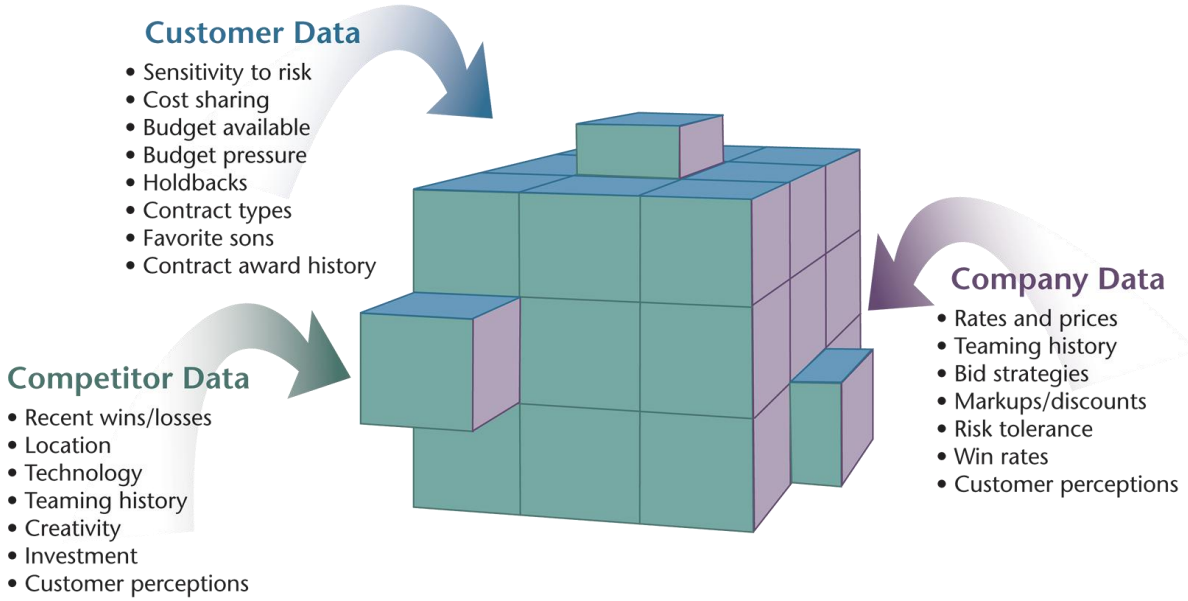


Figure* 34. *Price-to-Win Knowledge Base. *A current database can give you the ability to make sound decisions based on evidence rather than hunches. Effective business development organisations constantly add a wide variety of information on their regular customers and competitors. They also conduct objective analyses of internal capabilities in light of market forces.*

EXERCISE

Winning Price

In this exercise, you will learn about an essential responsibility of the capture manager: determining a winning price.

1. In teams, discuss factors that could influence a winning price. Record your thoughts on page 16 of your capture planner.
2. Identify actions or information that could narrow the range for the ultimate winning price.
3. On a flip chart, list additional intelligence collection topics revealed by the discussion.

© Shipley Associates, Shipley Asia Pacific

Collaborate on the Solution

Collaborate with the customer to develop a differentiated solution addressing the customer's issues and hot buttons and fitting within the winning price. Do not push a predetermined offering on an unwilling buyer. Lead the customer cooperatively toward a mutually satisfactory approach differentiated from competitors.

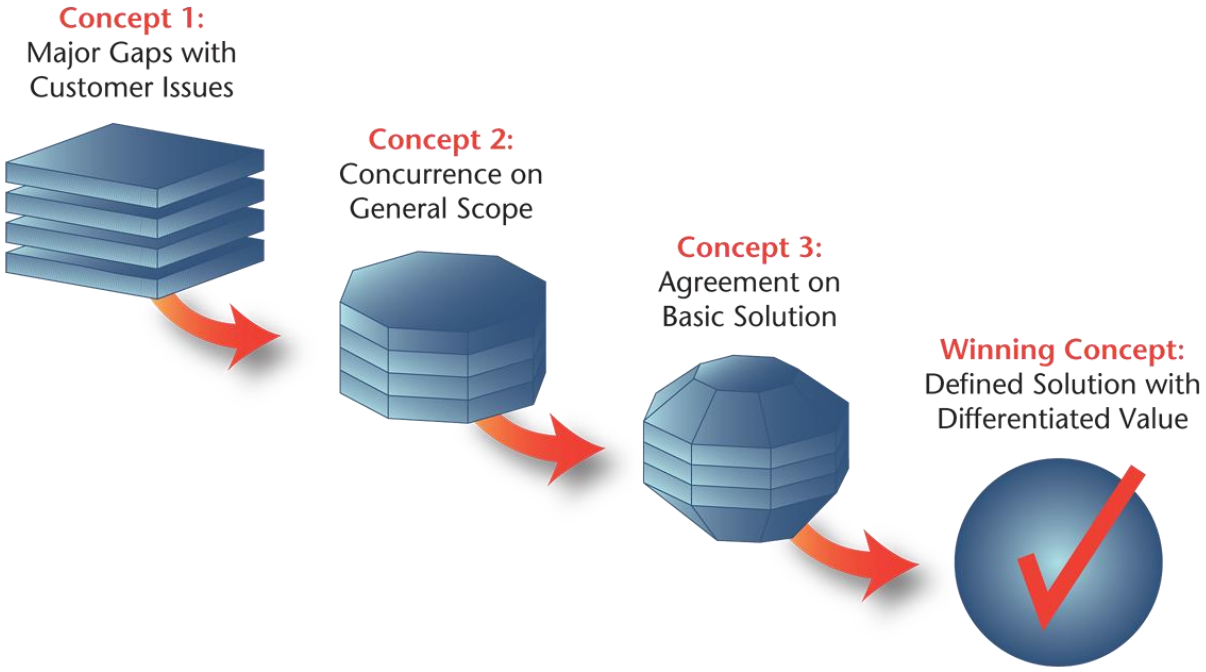


Figure 35. Collaborate with the Customer. *Begin with basic elements of a solution you can provide, but do not cling to them. Listen to customer feedback and modify the approach to obtain concurrence on general scope. Explore details with the customer and share costing implications to arrive at a basic solution. When the customer reads your final proposal, the solution will seem familiar—almost inevitable—and your value proposition will be understood.*

EXERCISE

Technical and Management Solution

In this exercise, you will use the Integrated Solution Worksheet on page 17 of your capture planner to develop solutions to the customer's hot button issues.

1. List the customer's hot buttons. Note associated technical requirements in the next column.
2. For each hot button:
   - Identify your available solution
   - Determine gaps between the customer's needs and your available solution
   - Decide what the best competitor can offer
   - Determine discriminators
3. Leave Strategy and Action Required blank. These will be completed during a later exercise.

© Shipley Associates, Shipley Asia Pacific

Consider Teaming Solutions

Companies bidding for major contracts must often take on teammates or major subcontractors, either to perform vital work or to support socio-economic goals imposed on many government contracts. Team selection can have a major influence on award. Figure 36 lists some factors and considerations when choosing teammates.

Teaming Considerations	
Factor	***Considerations***
Team strength	Offset weaknesses, add capabilities or discriminators
Roles and responsibilities	Avoid duplication, define work shares for proposal and program
Marketing/capture	Agree on lead, sell integrated team
Intellectual property	Guidelines for information and technology transfer
Logistics	Travel, collocation, technology standards, archives
Mutual protection	Binding legal agreements, termination provisions

Figure 36. Teaming Considerations. *Teaming decisions should not be made lightly. Nor should teammates be chosen simply to take a competitor off the street. Weigh all the factors and considerations above when choosing partners and reaching teaming agreements.*

EXERCISE

Teaming and Subcontracting

In this exercise, you will record current status of teaming relationships and major subcontracts planned for the eventual contract.

1. On page 18 of the capture planner, list each of your partner companies.
2. Describe the roles and work share for each partner.
3. Justify inclusion of partners on the team.

Note: For the exercise, you may invent other companies and relationships as long as you do not contradict the company profiles or opportunity assessment provided.

© Shipley Associates, Shipley Asia Pacific



Establish Capture Strategies

Capture strategies should position an organisation to submit winning proposals from a favoured position with the customer.

There are four types of strategy:

Emphasise your strengths

Mitigate your weaknesses

Highlight competitors' weaknesses

Neutralise competitors' strengths

Good capture strategy does two things: discriminates you from competitors and influences the customer to prefer your approach. It evolves from intelligence about both customer and competitors.

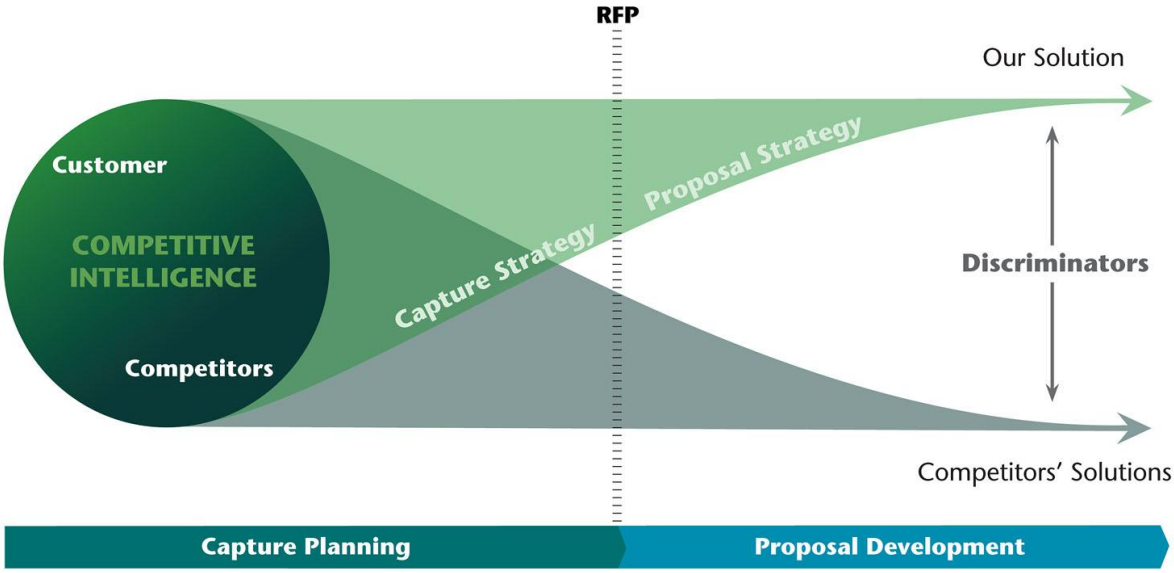
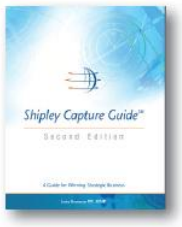


Figure 37. Competitive Separation. *The goal of capture strategy is to begin creating competitive separation that can be exploited in the proposal. Strategy should give the customer a reason to choose your solution over your competitors' offers. Discriminators are what separate you from your competitors in ways that matter to the customer.*



See Strategy

Proposal strategy should evolve from earlier capture strategy. Otherwise, customers can be confused.

While definitely related, capture and proposal strategies differ in character.

- Capture strategy focuses on action—things done to influence the customer before the RFP.
- Proposal strategy focuses on message—things to write in the proposal to persuade.

Capture Focus is Action	Proposal Focus is Message
· Gather intelligence on customer issues and competitors' positions · Collaborate with customer on preferred solution · Influence draft and final RFPs · Implement marketing tasks · Perform internal research and development to solidify baseline solution · Team to fill critical shortfalls	· Show compliance and responsiveness to stated requirements · Describe offering and show customer benefits · Substantiate claims · Mitigate risks · Address past performance problems

Figure 38. Strategy Differences. *These examples of capture and proposal strategies illustrate their complementary emphases on action and message.*

© Shipley Associates, Shipley Asia Pacific

Capture strategies flow from the bidder comparison. Analyse known and logically suspected teams. Develop hypothetical competitors when a category of bidder can be predicted, but identities are unknown.

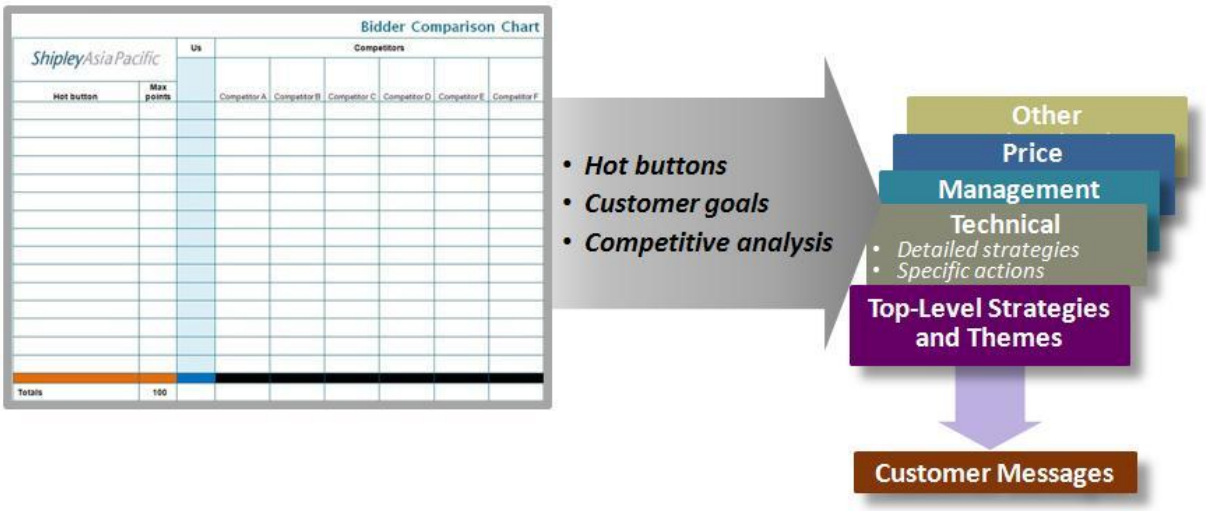


Figure 39. Capture Strategy Development. *The completed bidder comparison chart is the primary source during capture strategy development. From the comparative positions of your company and your competitors, develop technical, management, pricing, and other strategies that address the customer's issues and goals. In the same way, develop influencing messages to convey to the customer during the capture phase. These should prepare the customer for your eventual, persuasive, proposal messages.*

EXERCISE

Capture Strategy

In this exercise, you will develop capture strategies to influence the customer to prefer your solution.

1. On pages 19-22 of the capture planner, write one or two strategy statements of each type. Be specific about the actions.
2. Divide the effort among team members, but leave time to discuss and agree on strategies.
3. Go back to the Integrated Solution Worksheet (page 17 of the capture planner) and enter strategies against the appropriate hot buttons.

© Shipley Associates, Shipley Asia Pacific



Action planning

Action plans implement your win strategies

Establish Accountability through Action Planning

Action plans implement your win strategies.

Even good strategies must be assigned to someone for execution. Most capture teams borrow time from members' other responsibilities. Action plans establish accountability and timing.



Figure 40. Action Plans. *Implementing the actions identified by your action plans helps you focus on key objectives that lead to project wins by successfully influencing the customer and positioning your company.*

EXERCISE

Action Planning

In this exercise, you will convert strategy statements into action plans.

1. Working as a team, complete pages 23-27 of the capture planner. (For this exercise only, ignore cost columns on pages 23, 24, and 26.)
2. Go back to the Integrated Solution Worksheet (page 17 of the capture planner) and enter the major actions that support each strategy.

© Shipley Associates, Shipley Asia Pacific

EXERCISE

Capture Plan Executive Summary

In this exercise, you will prepare an executive summary for the capture plan.

1. Working as a team, summarise your capture plan on page 3 of the capture planner.

EXERCISE

Capture Plan Briefing

In this exercise, you will prepare and deliver a capture plan briefing as if you were presenting at the preliminary bid decision milestone.

1. Use all available information to brief the status of the capture effort.
2. Base your briefing on the completed capture plan.
3. Use a flip chart for visual aids.
4. At the briefing's conclusion, make a specific recommendation to bid or not.
5. Each team member must deliver a portion of the briefing.

© Shipley Associates, Shipley Asia Pacific



Execute and Track your Capture Plan

A capture plan should be managed, supported, and tracked like any important, strategic project.



See Capture Team Selection and Management

Capture plan execution and monitoring may require additional documentation to fulfill internal company planning needs. Add necessary documentation whenever it is useful. In particular, give careful thought to personnel assigned to the team.

Establish an integrated capture team with the right mix of knowledge, skills, and experience to support the opportunity.

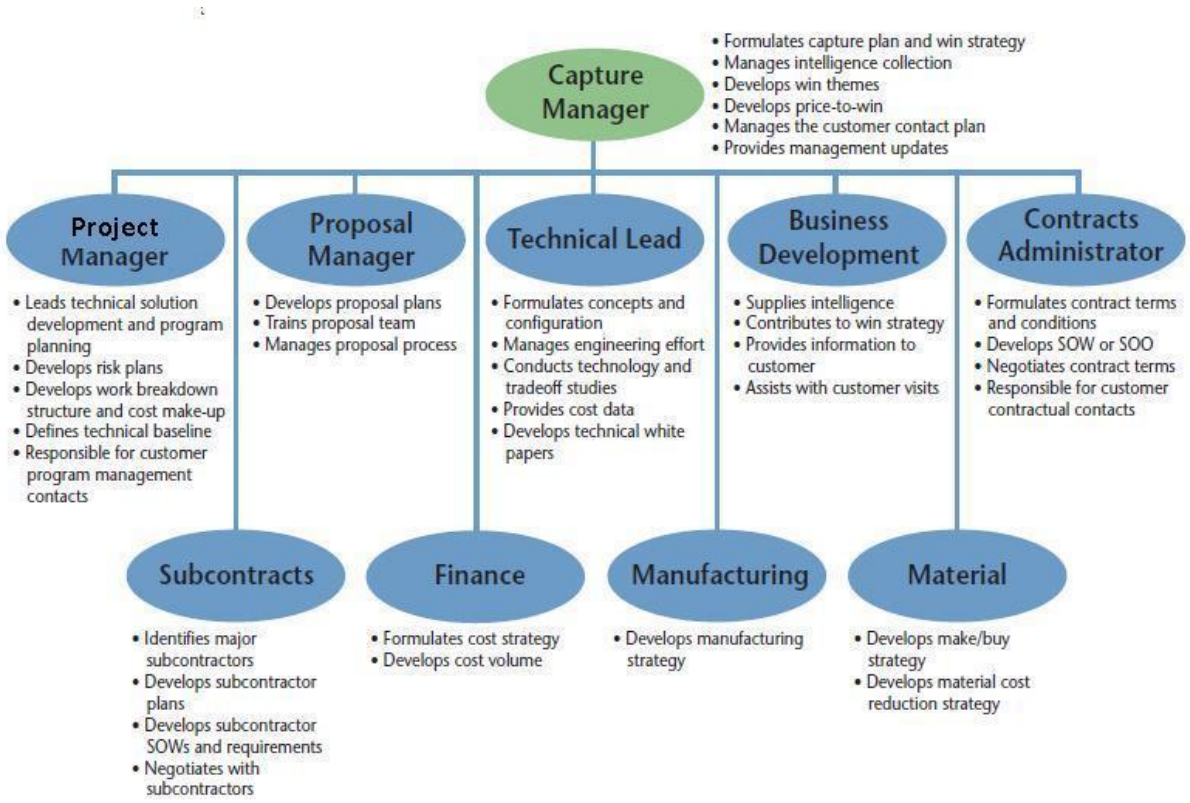
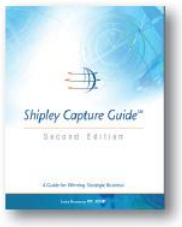


Figure 41. Organisational Involvement. *Capture efforts are not solo undertakings. The process relies heavily on a broad range of participation, incorporating the contributions of any functional group whose expertise is needed to address evolving customer interests or concerns. Team composition also depends upon success gaining access to various customer personnel. Roles shown in the figure are often involved. Representative tasks are listed that may be necessary to position for an opportunity.*

Prepare a First Draft of the Executive Summary



The capture team should initially draft an executive summary, which can then be used to communicate strategy to many audiences. The executive summary should be updated after the RFP is received and again just before proposal submission.

See Executive Summaries

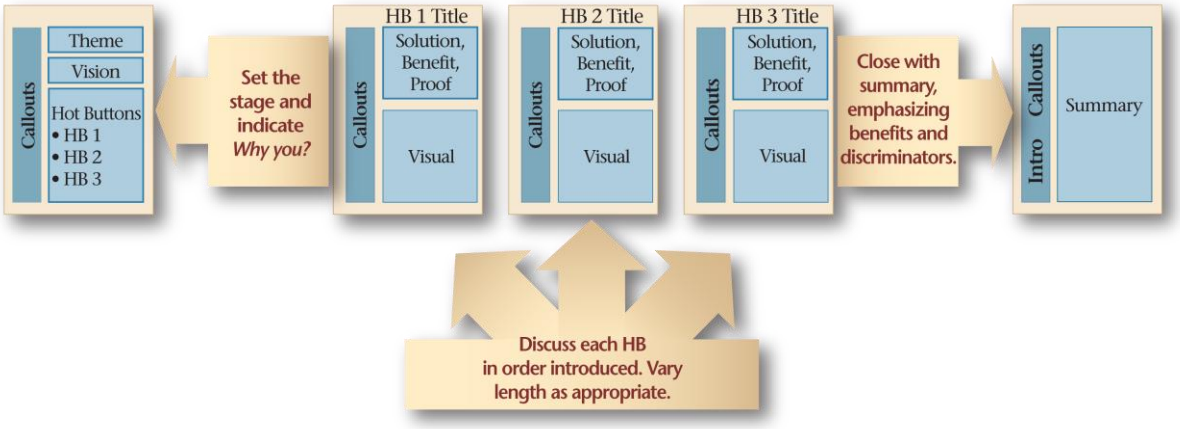


Figure 42. Hot Button Executive Summary. *An executive summary organised according to the customer's hot buttons makes a remarkably effective communication tool. It can be used for internal management briefings, shared with the customer as a white paper, and distributed to the proposal team to help set the tone for the sales document.*

Keys to capture management:

- **Obtain management endorsement**
- **Commit the right people to the capture team**
- **Use formal kickoff meetings**
- **Assign specific implementation tasks**
- **Distribute action items**
- **Set schedules**
- **Review progress regularly**
- **Resolve problems early**

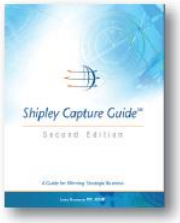
© Shipley Associates, Shipley Asia Pacific



Support the Proposal Team

A proposal is the final expression of capture planning and strategy. It should follow through on the capture strategies and confirm the offer the customer expects.

Focus on Customer Needs



See Engaging Proposal Support

The capture manager, proposal manager, and program manager lead three distinct teams with different purposes. All should focus on developing, selling, and delivering a solution that meets customer needs. There may be overlap or even complete commonality among the teams, depending on the size and complexity of the opportunity. But their roles and responsibilities are distinct. The capture manager should provide oversight and continuity until the contract is signed.



Project Manager ≠ Proposal Manager ≠ Capture Manager

Figure 43. Three Wise Monkeys. *A Japanese visual proverb—hear no evil, see no evil, speak no evil—reminds us of the roles of teams and their leaders. The project manager executes the contract, hoping not to hear of problems or disappointments. The proposal manager is dedicated to producing the proposal, and often must close eyes to problems. The capture manager faces the customer, and should take care to speak nothing that raises false expectations or departs from the agreed strategy.*

© Shipley Associates, Shipley Asia Pacific

Translate Capture Strategy into Proposal Strategy

A well-conceived and executed capture plan prepares the company to write a successful proposal. The capture manager's goal should be to arrive at final RFP release in a favoured position with the customer, with winning baseline solutions in technical, management, past performance, and cost or price areas, and with internal commitment on strategies to follow. All that information must be passed to the proposal team.

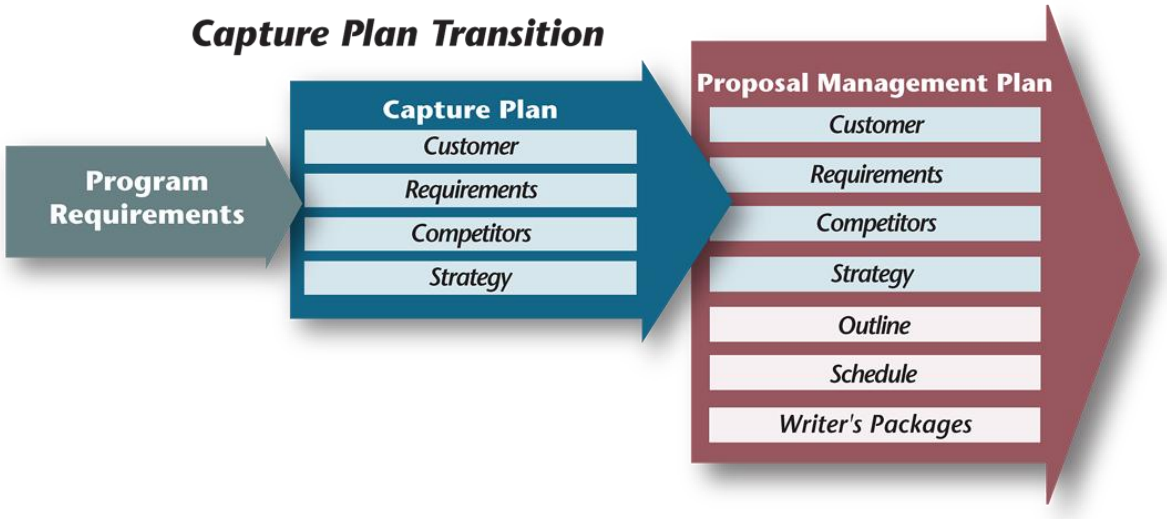


Figure 44. Capture Plan Transition. *For large proposals, or when there are many teaming partners, the proposal manager may decide to collect essential planning documents under a single cover in a proposal management plan. In such cases, much of the background information from the capture plan can be reused. The proposal manager then adds proposal-specific information such as the outline, schedule, and individual writers' instruction packages. In simpler situations, the proposal planning tasks may stand alone, but the capture manager should still ensure the proposal starts in the correct strategic direction.*

© Shipley Associates, Shipley Asia Pacific

Capture strategies should evolve into corresponding proposal strategies. The draft RFP provides an opportunity to check assumptions and assess whether capture efforts are having any influence on the customer.

Draft RFP Response guidelines

- Have the core team analyse draft and formulate response
- Assess technical, management, and cost elements
- Draw on specialists for detailed inputs
- Avoid merely requesting clarifications
- Revise, rewrite, or clarify requirements
- Discuss benefits of recommended changes
- Scrub response strategically
- Obtain management approval

The final RFP confirms the requirements, which are integrated with proposal strategies to plan the proposal and give instructions to writers.

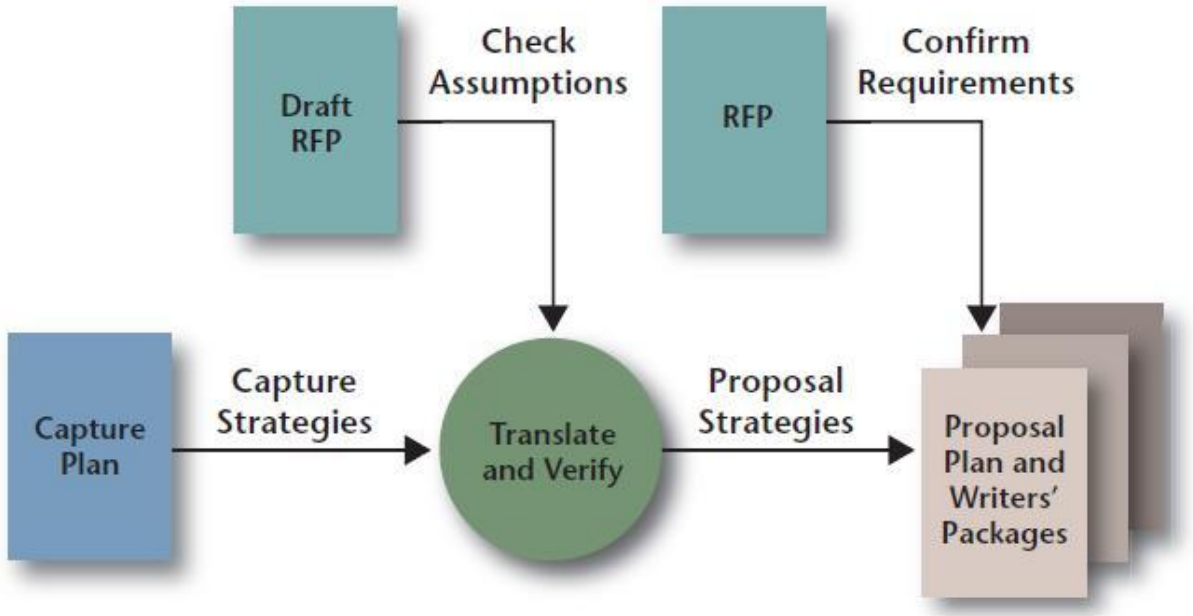


Figure 45. Evolving Strategies. *The capture manager is best positioned to oversee evolution of capture strategies into proposal strategies. A good draft RFP can be very helpful in the process, verifying hot button issues and helping define messages that will be persuasive in the context of the proposal. The final RFP is the last chance to look for shifts in customer thinking before making proposal writing assignments.*

Contribute to the Kickoff Meeting

Proposal kickoff meetings motivate, inform, and direct the proposal team. The capture manager can make major contributions to starting the team in the right direction.



Figure 46. Kickoff Agenda Responsibilities. *Since many proposal team members know little about the opportunity, the capture manager can help by presenting customer and competitor information and presenting or providing input to the solution summary and proposal strategy topics. The capture manager should also present the draft executive summary, which lets proposal team members know the story they should tell.*

© Shipley Associates, Shipley Asia Pacific

Participate in Reviews



See Color Team Reviews.

The proposal manager's most powerful tool is the Pink Team. It conducts an essential strategic review to confirm that the proposal, as planned via storyboards and mock-ups, will successfully execute the organisation's win strategy. The capture manager provides context for Pink Team members who may not be familiar with the customer.

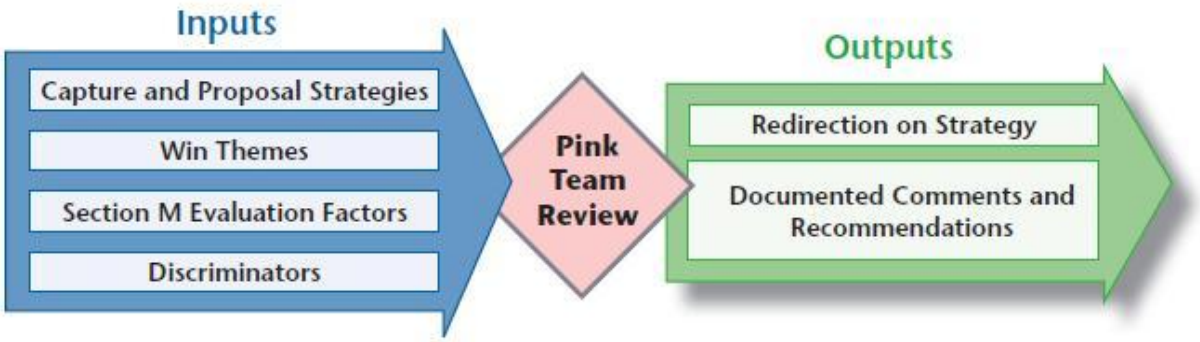


Figure 47. Pink Team Inputs and Outputs. *The Pink Team determines whether the proposal is on track, preferably before authors spend time writing text. The capture manager can prevent authors from writing with improper emphasis, or even about the wrong topics.*

Red Team has two major purposes: predicting how the proposal will score against the customer's evaluation factors and assessing proposal quality. The capture manager should help with the qualitative assessment, ensuring customer focus.

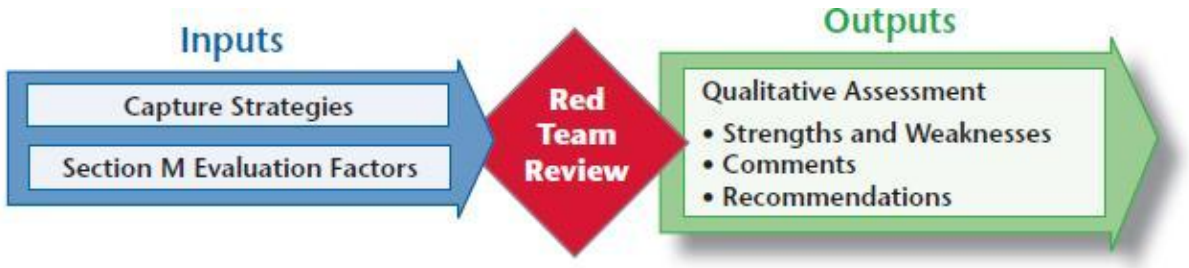


Figure 48. Red Team Inputs and Outputs. *Red Team offers the last chance to improve a proposal's strategic impact before delivery.*

Final proposal revision (FPR) submittal and evaluation are the last stages before source selection. Especially at this final, critical stage, the capture manager makes important contributions.

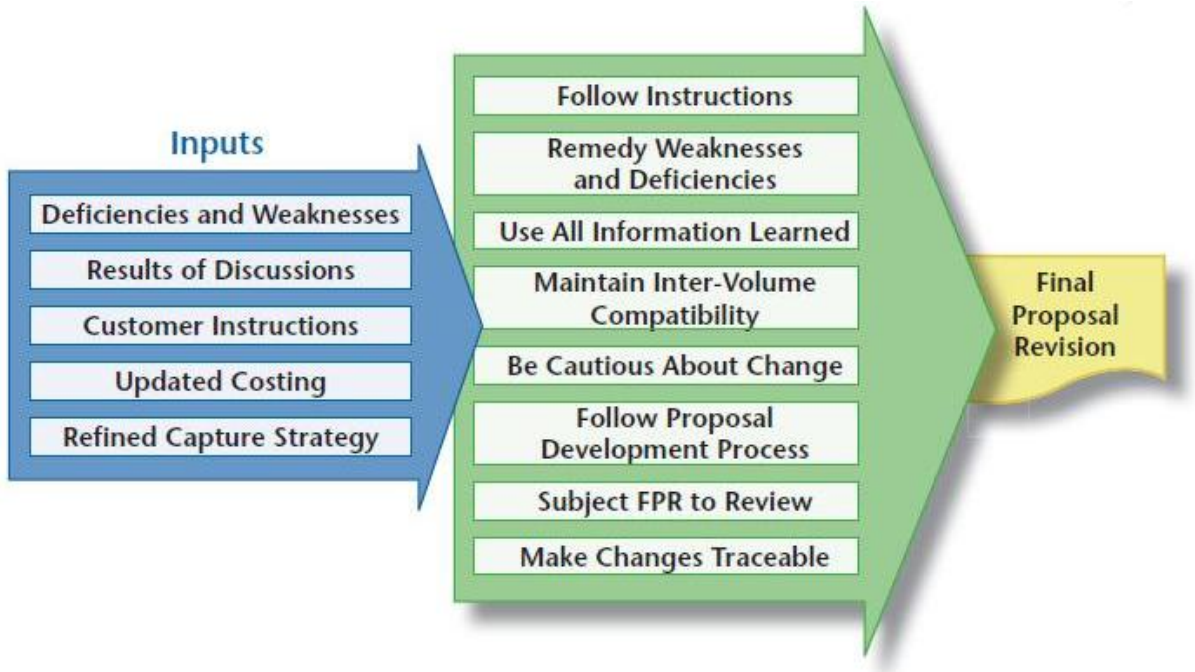


Figure 49. Capture Team Supports FPR. *The FPR comes at a point when the capture manager knows more about the customer and opportunity than at any other time because of exchanges that have occurred in response to proposal submission. Many guesses and estimates have been confirmed or disproven. There is explicit feedback on the proposed solution and price. This is the time to be exceptionally careful modifying the proposal; the capture manager's perspective is vital.*

© Shipley Associates, Shipley Asia Pacific

What to Do When Time Is Short

As lead time shrinks, opportunities to influence the customer naturally decline. No matter how little time is available, consider the essentials of capture management shown in Figure 50.

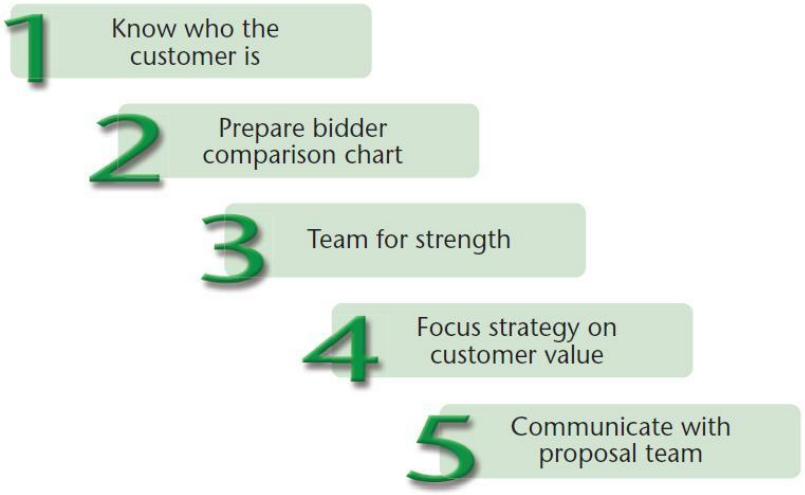


Figure 50. When Time Is Short. *Always know your real customer. Analyse your competitive position as well as you can, even if the RFP has already been published. Team to add strength and discriminate your offer. Focus on the value you can bring to the customer rather than your own organisation's needs. And always, always communicate what you've learned to the proposal team so they do not have to work in an information vacuum.*



© Shipley Associates, Shipley Asia Pacific


LESSONS
LEARNED

Participant Review and Recommendations

Please take the time to fill out the form on the following pages when requested to by your workshop facilitator.

© Shipley Associates, Shipley Asia Pacific

Workshop attendance and feedback form

Participant Review and Recommendations Form

Here is your opportunity to contribute to the quality of training you and your colleagues receive from Shipley. Please take four or five minutes to answer the questions on both sides of this form. Be specific and frank in your evaluation

Workshop title		Your name	
Facilitator name		Your organisation/ division	
Date			

The Workshop

	Excellent			Good		Average			Poor	
Please rate the overall effectiveness of the workshop	10	9	8	7	6	5	4	3	2	1

Would you recommend the workshop for others in your organisation?	Yes	No

What are the three most significant skills you learned from the workshop that will be of use to you on the job?	How will each of these skills contribute to your organisation's overall mission?
1	
2	
3	

	Excellent			Good		Average			Poor	
What was your confidence level in the areas covered by the workshop ***before*** you took the workshop?	10	9	8	7	6	5	4	3	2	1
What is your confidence level in those areas **now**?	10	9	8	7	6	5	4	3	2	1
What level of confidence do you have that your organisation will support your use of new or improved skills?	10	9	8	7	6	5	4	3	2	1
What percentage of these skills do you think you will actually be able to use on the job?	10	90	80	70	60	50	40	30	20	10	0

The Facilitator and the Materials

	Excellent			Good		Average			Poor	
Please rate the facilitator's overall effectiveness	10	9	8	7	6	5	4	3	2	1
Please rate the appearance, organisation and content of the materials	10	9	8	7	6	5	4	3	2	1
Facilitator's use of the materials as learning tools	10	9	8	7	6	5	4	3	2	1

Anything Else?

Please give us any other feedback you'd like us to have:

Please turn over

Your comments

If you would like to make a comment about this workshop that you give us permission to publish against your name and organisation, please write it here:

Future needs

What do you need to do now to implement what you have learned in your business?

Potential contacts

Please list anyone you think would benefit from hearing more about what we do:

Name		Name	
Organisation		Organisation	
Role		Role	
Phone	+	Phone	+

Thank you for taking the time to complete this form. Your opinion and feedback are important in helping us to continuously improve the quality of the programs and services we deliver to your organisation.

© Shipley Associates, Shipley Asia Pacific